

Practical FP&A & Corporate Finance

Practical, Hands-On, Job-Ready — India-first + Global

Real formulas, queries, entries & tools — closing the gap between what an MBA teaches and what finance employers pay for

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What FP&A & Corporate Finance Actually Do

What it is & where it's used

FP&A (Financial Planning & Analysis) is the team that turns a company's raw accounting data into forward-looking decisions: how much will we earn next quarter, can we afford this hire, why did margin drop 2%, should we approve this ₹40 lakh capex. **Corporate finance** is the broader umbrella — capital structure, funding, treasury, valuation, M&A — of which FP&A is the operational, monthly-heartbeat piece.

Where it lives, by role:

Role	What the FP&A/corp-fin work looks like
FP&A Analyst	Builds/updates the monthly forecast, variance decks, budget templates
Business Finance Partner	Sits with a Sales/Ops head, defends their P&L, challenges spend
Treasury Analyst	Cash-flow forecast, banking, working-capital, FX exposure
Corp Dev / IB Analyst	Valuation models (DCF, comps), deal support, board packs
Startup Finance (India)	All of the above at once — MIS, runway, investor reporting, GST
Controller / Accounts	Owens the actuals that FP&A forecasts against

In India this shows up as "MIS Analyst", "Business Finance", "FP&A", or simply "Finance Manager" in a startup. The tool stack is near-universal: **Excel** (the real ERP of finance), a **BI layer** (Power BI/Tableau), the **ERP/ledger** (Tally, SAP, NetSuite, Zoho), and increasingly **SQL/Python** to get data out without begging IT.

The gap: why companies want this (and college didn't teach it)

Your MBA taught you WACC, CAPM, and the Modigliani-Miller theorem. Your CA course taught you AS/Ind-AS, journal entries, and how to *audit* a set of books. Neither taught you the actual job, which is **80% "get the number, explain the number, project the number" and 20% theory**.

The concrete gaps:

- **College is backward-looking; FP&A is forward-looking.** You were graded on preparing/auditing past financials. Employers pay you to *forecast* the next 12 months and be roughly right.
- **College gives clean data; the job gives garbage.** No textbook problem has duplicate cost centres, a ₹ in a text field, or three spellings of "Reliance". Real data cleaning is 40% of the job.
- **College values the exact answer; the job values the fast, defensible, on-time answer.** A board deck at 90% accuracy on Monday beats 100% on Thursday.
- **Nobody taught you Excel as a modelling language** — dynamic arrays, INDEX/MATCH, SUMIFS, scenario toggles, clean model architecture. CA and MBA both assume you'll "pick it up."
- **Nobody taught you to talk to a database.** The data you need lives in an ERP behind a SELECT statement, not in a nicely formatted PDF.

Close these five and you are hireable. The rest of this chapter (and book) is how.

What "proficient" looks like

The bar an employer tests for — what a job-ready person does **without hand-holding**:

- Given a raw GL/trial-balance export, build a **3-statement-linked** or at least a clean P&L model in under a day.
- Write a **variance bridge** (Budget → Actual, explaining each ₹ of the gap) and narrate it in three sentences a CFO understands.
- Pull their own data: a `SUMIFS` / `XLOOKUP` in Excel, a `GROUP BY` in SQL, a `groupby` in pandas.
- Build a **rolling 12-month forecast** with driver-based assumptions (volume × price, headcount × cost), not a flat +10%.
- Produce a **cash-flow / runway** view and know the difference between profit and cash.
- Turn all of it into a **1-page board/MIS deck** with a clear story, not a data dump.
- Know the **calendar**: what's due on working-day 1, 3, 5 of the month.

The FP&A monthly calendar (memorise this — interviewers ask):

Working day	Activity
WD 1–3	Close: accruals booked, actuals locked by Controller
WD 3–4	FP&A pulls actuals, refreshes model, builds variance vs budget/forecast
WD 4–5	Commentary written, MIS/board deck built
WD 5–6	Business reviews with department heads
WD 7–10	Re-forecast next quarter, update rolling forecast
Quarterly	Board pack, re-forecast; Annually: the budget (Aug–Nov cycle)

Hands-on: how to actually do it

1. Get actuals against budget — the workhorse `SUMIFS` . Given a transaction table (`Data` sheet: Cost Centre in A, Account in B, Month in C, Amount in D):

```
=SUMIFS(Data!$D:$D, Data!$B:$B, $A2, Data!$C:$C, F$1)
```

This sums Amount where Account = the row label and Month = the column header — the entire skeleton of an MIS pulls this way.

2. Look up master data — `XLOOKUP` (or `INDEX/MATCH` for legacy Excel):

```
=XLOOKUP(A2, Master!$A:$A, Master!$C:$C, "NOT MAPPED")  
=INDEX(Master!$C:$C, MATCH(A2, Master!$A:$A, 0))
```

3. The variance bridge column:

Variance	=Actual - Budget
Variance %	=IFERROR((Actual-Budget)/Budget, 0)
Fav/Unfav	=IF(AND(N("expense"), Actual>Budget), "Unfav", "Fav")

4. Pull the raw data yourself with SQL (don't wait for IT):

```
SELECT cost_centre,
       account_name,
       DATE_TRUNC('month', txn_date) AS period,
       SUM(amount) AS actual
FROM   gl_transactions
WHERE  txn_date ≥ '2026-04-01'           -- FY26-27 (Indian FY)
GROUP BY cost_centre, account_name, period
ORDER BY period, cost_centre;
```

5. Clean and aggregate in Python when Excel chokes on volume:

```
import pandas as pd
gl = pd.read_csv("gl_export.csv")
gl["amount"] = pd.to_numeric(gl["amount"], errors="coerce").fillna(0)
gl["month"] = pd.to_datetime(gl["txn_date"]).dt.to_period("M")

pivot = (gl.groupby(["cost_centre", "month"])["amount"]
         .sum()
         .unstack(fill_value=0))
pivot["FY_total"] = pivot.sum(axis=1)
pivot.to_excel("actuals_by_cc.xlsx")
```

6. A driver-based revenue line (DAX for Power BI MIS):

```
Revenue Fcst = SUMX(VALUES(Product[SKU]),
  [Avg Price] * [Forecast Units])

Var to Budget % =
DIVIDE([Actual] - [Budget], [Budget], 0)
```

7. The accrual journal FP&A insists Controllers book so the number is complete (electricity bill not yet received, ₹2,00,000):

Account	Dr	Cr
Power & Fuel (Expense, P&L)	₹2,00,000	
Accrued Expenses (Liability, BS)		₹2,00,000

Reversed next month when the actual invoice lands. Understanding this is why FP&A and accounting can't be separated.

Worked example / mini-project

Reproduce this: a monthly MIS for "Nimbus Retail Pvt Ltd" (India), month = Apr-2026.

Budget vs Actual, ₹ lakh:

Line	Budget	Actual	Var (₹)	Var %	Comment
Revenue	500.0	472.0	(28.0)	-5.6%	2 stores opened late
COGS	300.0	288.9	11.1	fav	in line with volume
Gross Profit	200.0	183.1	(16.9)	-8.5%	GM 38.8% vs 40.0%
Employee cost	70.0	74.0	(4.0)	-5.7%	3 early hires
Rent	25.0	25.0	0.0	—	fixed
Marketing	30.0	41.0	(11.0)	-37%	pulled forward launch spend
Other opex	20.0	19.5	0.5	fav	
EBITDA	55.0	23.6	(31.4)	-57%	see bridge

The EBITDA bridge (the deliverable a CFO actually reads):

Budget EBITDA	55.0	
Revenue shortfall (volume)	(11.2)	← 28 x 40% GM
Gross margin slip (1.2pt)	(5.7)	
Extra headcount	(4.0)	
Marketing pull-forward	(11.0)	
Other opex saving	0.5	
Actual EBITDA	23.6	

Three-sentence narrative: "EBITDA missed by ₹31.4L, but ~₹11L is marketing we deliberately pulled forward and ₹4L is hiring ahead of Q2 — both timing, not structural. The real concern is the ₹17L gross-profit miss from two delayed store openings. Recovery expected from June once stores stabilise." That narrative — not the spreadsheet — is what gets you promoted.

Build it: dump the 8 lines in Excel, add **Var / Var %** formulas above, build the bridge as a waterfall chart. Thirty minutes of work; it is the job.

How it's tested

Interview questions: - "Walk me through the three financial statements and how they connect." (cash is the linking answer) - "Budget vs Actual vs Forecast — what's the difference?" (annual-fixed vs actual vs latest-estimate) - "You forecast ₹100 revenue, actual is ₹80. How do you investigate?" (decompose: volume vs price vs mix, by segment) - "Difference between profit and cash?" (working capital, non-cash items, capex) - "What is a rolling forecast and why use it?"

Practical tests (increasingly the real filter): - **Timed Excel test (30–60 min):** given a raw transaction dump, build a P&L pivot, add variance columns, `XLOOKUP` a mapping table, and write two bullets of commentary. Graded on speed, correct absolute referencing, and no hardcoded numbers. - **Case / "close these books":** an accrual + prepaid adjustment set, produce adjusted EBITDA. - **SQL screen:** "write a query for revenue by region by month." A `GROUP BY` with a date filter. - **Take-home model:** build a 12-month driver-based forecast from assumptions and present a 1-slide recommendation.

Common mistakes & how pros avoid them

Mistake	What pros do
Hardcoding numbers inside formulas	Every input is a labelled, coloured (blue) cell; formulas are black
Flat "+10%" forecasts	Driver-based: units × price, heads × cost, so you can defend each ₹
Reporting variance without a <i>why</i>	Every variance gets a one-line cause: price/volume/mix/timing
Confusing profit with cash	Always keep a cash/runway view beside the P&L
Circular refs / broken 3-statement links	Iterative calc on; isolate the interest-on-debt circularity
Dumping a 40-row table on the CFO	One page, one chart, three sentences, one recommendation
Waiting for IT to give data	Learn <code>SUMIFS</code> , <code>SQL GROUP BY</code> , <code>pandas groupby</code> and self-serve
Model with no version/date	Filename <code>MIS_Apr26_v3_2026-05-06.xlsx</code> ; never overwrite last close

Learn-it roadmap & resources

Realistic time-to-proficiency: 3–6 months of deliberate practice alongside a job or CA prep.

Weeks	Focus	Milestone
1–3	Excel modelling: <code>SUMIFS</code> , <code>XLOOKUP</code> , <code>INDEX/MATCH</code> , pivots, dynamic arrays	Build the Nimbus MIS unaided
4–6	3-statement model + variance bridge	Link IS→BS→CFS, no plugs
7–9	SQL basics: <code>SELECT/WHERE/GROUP BY/JOIN</code>	Pull actuals from a sample DB
10–12	Power BI/DAX + a driver-based rolling forecast	1-page live dashboard
13–20	Python/pandas for cleaning; a DCF/valuation	Portfolio of 3 models

Resources: - **Free:** Corporate Finance Institute (CFI) free courses; Aswath Damodaran's NYU valuation lectures (YouTube, gold standard); Microsoft/Kaggle SQL & pandas tracks; ICAI study material for the accounting base. - **Paid/cert:** CFI's **FMVA** (financial modelling), Wall Street Prep / Breaking Into Wall Street for bankers, Coursera Excel-to-BI specialisations. In India, your **CA / CFA** is the credibility layer; FMVA/BIWS is the *skills* layer employers actually test. - **Practice data:** any company's published annual report — rebuild their P&L and forecast a year forward.

Quick-reference

Need	Tool / formula
Actual by account & month	<code>=SUMIFS(amt, acct, \$A2, month, F\$1)</code>
Map master data	<code>=XLOOKUP(key, lookup, return, "NA")</code>
Legacy lookup	<code>=INDEX(ret, MATCH(key, look, 0))</code>
Variance % (safe)	<code>=IFERROR((Act-Bud)/Bud, 0)</code>
Pull DB data	<code>SELECT dim, SUM(amt) ... GROUP BY dim</code>
Clean/aggregate big data	<code>df.groupby("x")["amt"].sum()</code>
BI variance	<code>DIVIDE([Actual]-[Budget], [Budget], 0)</code>
Accrual entry	Dr Expense / Cr Accrued liability
Indian FY	1 Apr – 31 Mar; label FY26-27
Close cadence	Actuals WD3, variance WD4, deck WD5
Model hygiene	Blue = input, black = formula, never hardcode
The deliverable	1 page, 1 chart, 3 sentences, 1 recommendation

Budgeting in practice

What it is & where it's used

A budget is the company's financial plan for the next year (usually the fiscal year, in India **1 April to 31 March**) expressed in numbers: how much revenue each product/region will bring, what each department is allowed to spend, and what profit falls out. In practice, "budgeting" is the **annual process** of collecting numbers from every cost-centre owner, challenging them, consolidating them into a single P&L (and often cash flow and balance sheet), getting board sign-off, and then loading the approved figures into the accounting/ERP system so that **actual vs budget (variance)** reporting can run every month.

Roles that live and die by this:

Role	What they do in budgeting
FP&A Analyst	Builds the template, chases cost-centre owners, consolidates, runs variance
Finance Business Partner	Sits with a department head (Sales, Marketing, Ops) to build that unit's budget
Management Accountant / Cost Accountant	Standard costs, overhead absorption rates, cost-centre allocation
Financial Controller	Owens the calendar, reviews, presents to CFO
Startup Finance / "Founder's office"	Runway, burn, hiring plan — the same discipline, lighter tooling

Budgeting sits next to **forecasting** (which re-estimates mid-year) and **planning** (the strategic 3-5 year view). The budget is the *committed baseline* you get judged against.

The gap: why companies want this (and college didn't teach it)

An MBA teaches you the *master budget* diagram — sales budget → production budget → materials/labour/overhead budgets → cash budget → budgeted P&L. Cost accounting (CA Inter Paper 4) teaches flexed budgets and variance formulas. Both are correct and both are **useless on day one of the job**, because the real work is:

- **Process and people, not formulas.** 80% of budgeting is chasing 15 cost-centre owners for their numbers, handling the ones who pad, and reconciling versions.
- **A working template.** College never makes you build a driver-based Excel model that 12 departments feed into and that rolls up cleanly.
- **Top-down targets vs bottom-up build.** Textbooks present one clean number. Reality: the CEO says "grow EBITDA 20%" (top-down) while cost-centres submit numbers that imply a *loss* (bottom-up). Closing that gap **is** the job.
- **Version control and audit trail.** V1, V2, "final", "final_CFO_v3". Nobody teaches you how not to lose the plot.

Employers pay for the person who can turn a messy set of departmental asks into one board-ready, defensible number — fast, and without breaking the model.

What "proficient" looks like

A job-ready person can, unaided:

1. Build a **cost-centre budget template** in Excel that a non-finance manager can fill in, with input cells clearly separated from formula cells.
2. Build **revenue bottom-up from drivers** (units × price, or headcount × productivity), not a single typed number.
3. **Consolidate** many cost-centre tabs into one P&L using structured references / `SUMIFS`, so adding a department doesn't break anything.
4. Run a **top-down reconciliation**: show the CEO's target, the bottom-up submission, and the gap, then run scenarios to close it.
5. Produce **budget vs actual variance** with % and a favourable/adverse flag.
6. Manage a **budget calendar** and know who owes what by when.

Hands-on: how to actually do it

1. The cost-centre input template (one tab per department)

Keep **inputs blue**, **formulas black** — a real convention. Give each owner a driver, not a blank cell.

	A	B	C	D	E	F	G
1	Cost Centre: Marketing	Owner: R.Sharma	CC Code: 5200				
2	Line item	Driver	Rate	Qty	Apr ...	Total FY	Notes
3	Salaries	headcount	₹90,000	6	=C3*D3	=E3*12	
4	Digital ads	monthly spend	₹250,000	1	=C4*D4	=E4*12	
5	Events	per event	₹400,000	8	=C5*D5	=E5*12	

Monthly phasing (seasonality) instead of flat ÷ 12 — spread an annual number across months using a weight row:

```
=F$6 * INDEX($Weights, MATCH(H$1, $MonthHdr, 0))
```

2. Build revenue bottom-up (driver-based)

Never type a revenue number. Model it:

```
Revenue = Units_sold * Avg_price  
Units_sold (SaaS) = Opening_customers + New - Churned  
=SUMPRODUCT(units_row, price_row)      ' mix of products
```

Growth-rate build for a month row (B = prior month, MoM growth in \$C\$1):

```
=B2*(1+$C$1)
```

3. Consolidate cost centres into one P&L

Put every cost-centre line into one long **flat table** (`tblBudget`) with columns `CC_Code` | `Account` | `Month` | `Amount` . Then the P&L is just `SUMIFS` :

```
=SUMIFS(tblBudget[Amount],  
        tblBudget[Account], $A5,  
        tblBudget[Month],   B$4)
```

Adding a 16th department = paste more rows, formulas don't change. This is why pros use a flat table, not 15 differently-shaped tabs.

Cross-check the roll-up two ways (belt and braces):

```
=SUMIFS( ... )           ' by account  
=SUMPRODUCT((tblBudget[CC_Code]=code)*tblBudget[Amount]) ' by cost centre  
' the two grand totals MUST tie
```

4. Top-down vs bottom-up reconciliation

	Amount (₹ Cr)
CEO target EBITDA (top-down)	12.0
Bottom-up submission EBITDA	8.4
Gap to close	3.6

Close the gap with a lever table and `Goal Seek` (Data → What-If Analysis → Goal Seek: *Set cell* = EBITDA, *To value* = 12, *By changing* = a cost-cut % or price-uplift cell).

5. Variance (budget vs actual), the monthly output

```
Variance    =Actual - Budget  
Variance %  =(Actual-Budget)/Budget  
Flag (cost)=IF(Actual≤Budget,"Favourable","Adverse")  
Flag (rev)  =IF(Actual≥Budget,"Favourable","Adverse")
```

6. Same thing in SQL (when data lives in a warehouse)

```
SELECT  cc.cost_centre,
        a.account,
        SUM(CASE WHEN f.scenario='BUDGET' THEN f.amount END) AS budget,
        SUM(CASE WHEN f.scenario='ACTUAL' THEN f.amount END) AS actual,
        SUM(CASE WHEN f.scenario='ACTUAL' THEN f.amount END)
        - SUM(CASE WHEN f.scenario='BUDGET' THEN f.amount END) AS variance
FROM    fact_gl f
JOIN    dim_cost_centre cc ON cc.cc_key = f.cc_key
JOIN    dim_account      a  ON a.acc_key = f.acc_key
WHERE   f.fiscal_year = 2027
GROUP BY cc.cost_centre, a.account
ORDER BY variance;
```

7. Python — phase an annual budget across 12 months with seasonality

```
import pandas as pd
weights = pd.Series([0.06,0.06,0.07,0.08,0.08,0.09,
                    0.09,0.09,0.09,0.09,0.10,0.10]) # sums to 1.0
annual = 24_000_000 # ₹2.4 Cr
monthly = (annual * weights).round(0)
print(monthly)
```

8. Power BI DAX for the dashboard

```
Budget      = CALCULATE(SUM(Fact[Amount]), Fact[Scenario]="Budget")
Actual      = CALCULATE(SUM(Fact[Amount]), Fact[Scenario]="Actual")
Variance    = [Actual] - [Budget]
Variance %  = DIVIDE([Variance], [Budget])
```

Worked example / mini-project

Company: *Nirmaan Interiors Pvt Ltd*, a Pune SME. Build FY2027-28 budget. Reproduce this.

Step 1 — Revenue (bottom-up). Two streams:

Stream	Driver	Value	Annual revenue
Residential projects	40 projects × ₹6,00,000		₹2,40,00,000
Commercial fit-outs	8 projects × ₹18,00,000		₹1,44,00,000
Total revenue			₹3,84,00,000

Step 2 — Direct costs (COGS ~55% of revenue).

Item	Basis	₹
Materials	40% of revenue	1,53,60,000
Site labour (contract)	15% of revenue	57,60,000
Gross profit		1,72,80,000 (45%)

Step 3 — Cost-centre budgets (overheads).

CC	Line	Monthly ₹	Annual ₹
Admin (5100)	Salaries (5 staff)	3,00,000	36,00,000
Admin	Office rent	1,20,000	14,40,000
Marketing (5200)	Digital + events	1,50,000	18,00,000
Design (5300)	Software + salaries	4,00,000	48,00,000
Total overheads			1,16,40,000

Step 4 — Budgeted P&L.

	₹
Revenue	3,84,00,000
COGS	(2,11,20,000)
Gross profit	1,72,80,000
Overheads	(1,16,40,000)
EBITDA	56,40,000 (14.7%)

Step 5 — Top-down challenge. CEO wants EBITDA ₹70,00,000. Gap = ₹13,60,000. Levers modelled: +5% price on commercial (₹7,20,000), cut events budget 30% (₹3,00,000), one design hire deferred 6 months (₹3,60,000) → closes ₹13,80,000. Re-run: **EBITDA ₹70,20,000**. Present both versions plus the bridge.

Step 6 — Month 1 variance. April actual overheads ₹10,20,000 vs budget ₹9,70,000 → variance ₹50,000 **Adverse (+5.2%)** — flag to Admin owner.

How it's tested

Interview questions - "Walk me through how you'd build a company's annual budget from scratch." (They want *process* + *calendar*, not formulas.) - "Top-down vs bottom-up — which do you use and why?" (Answer: both — bottom-up build, top-down target, reconcile the gap.) - "A cost-centre owner submits a number ₹20L above last year with no justification. What do you do?" - "How do you handle version control across 15 departments?" - "Difference between a fixed and a flexed budget?" (Flexed = re-cast at actual activity level for fair variance.)

Practical assessments - Timed Excel test (45-60 min): given a raw cost-centre extract, build a consolidated budget with `SUMIFS`, add a driver-based revenue build, and produce a variance column. They watch for input/formula separation, no hard-coding, and a tie-out. - **Case:** "Here's the CEO's EBITDA target and the

bottom-up submission — close the gap and justify each lever" (often with Goal Seek). - **Modelling test:** build a 3-scenario (base/best/worst) budget with a scenario switch (CHOOSE / INDEX).

Common mistakes & how pros avoid them

Mistake	How pros avoid it
Hard-coding numbers into formulas	Every assumption in a labelled blue input cell
÷ 12 flat phasing	Seasonality weight row that sums to 100%
15 differently-shaped tabs that won't roll up	One flat table + SUMIFS ; template locked for owners
Typing a revenue number	Driver-based build (units × price, headcount × output)
No top-down check	Always show target vs bottom-up vs gap bridge
Version chaos ("final_v7")	Dated filenames + a change-log tab; single source of truth
Padding / sandbagging by owners	Challenge against prior-year actuals and per-unit ratios
Budget ignored after April	Monthly budget-vs-actual pack with variance commentary
No cash budget, only P&L	Add a cash/working-capital line — profit ≠ cash

Learn-it roadmap & resources

Time to proficiency: 6-10 weeks part-time if you already know Excel basics.

Weeks	Focus
1-2	Excel for FP&A: SUMIFS , INDEX/MATCH , XLOOKUP , tables, data validation
3-4	Build a driver-based revenue model + cost-centre template
5-6	Consolidation, top-down/bottom-up reconciliation, Goal Seek, scenarios
7-8	Variance reporting + a Power BI / DAX dashboard
9-10	End-to-end mock budget for a fictional company (portfolio piece)

Resources - CA Inter Cost & Management Accounting — *Budgets & Budgetary Control* chapter (free ICAI module) for the theory backbone. - CFI *FP&A / Budgeting & Forecasting* course (paid) — job-shaped. - Corporate Finance modelling on YouTube (free): "driver-based budgeting", "budget vs actual dashboard Power BI". - Practise on real templates: build the *Nirmaan Interiors* example above yourself.

Certifications: CMA (India) or CMA (US) both weight budgeting heavily; CFI **FMVA** is the practical badge recruiters recognise for FP&A.

Quick-reference

Need	Formula / step
Consolidate cost centres	<code>=SUMIFS(tbl[Amount], tbl[Account], A5, tbl[Month], B\$4)</code>
Revenue from mix	<code>=SUMPRODUCT(units, price)</code>
MoM growth	<code>=Prior*(1+growth%)</code>
Phase annual → months	<code>annual * weight_row</code> (weights sum to 1)
Variance	<code>=Actual-Budget</code>
Variance %	<code>=(Actual-Budget)/Budget</code>
Cost flag	<code>=IF(Actual ≤ Budget, "Fav", "Adv")</code>
Close top-down gap	Data → What-If → Goal Seek
Scenario switch	<code>=CHOOSE(switch, base, best, worst)</code>
DAX variance	<code>Variance = [Actual]-[Budget]</code>

Golden rules: FY = Apr-Mar · inputs blue, formulas black · never hard-code · build revenue from drivers · one flat table, not 15 tabs · always reconcile top-down vs bottom-up · budget is worthless without monthly variance.

Typical budget calendar (SME/mid-market):

When	Milestone
Nov	CFO issues assumptions + top-down targets, template out
Early Dec	Cost-centre owners submit bottom-up (V1)
Mid Dec	FP&A consolidates, first gap-to-target review
Late Dec	Iterations V2/V3, lever decisions
Jan	CFO / board review and sign-off
Feb-Mar	Load approved budget into ERP; lock baseline
Apr	Year starts; first budget-vs-actual pack

Forecasting & Rolling Forecasts

What it is & where it's used

A forecast is your best current estimate of where the numbers will land — revenue, costs, cash, headcount — given what you know today. It is different from a **budget** (a fixed annual target, locked once) and from **actuals** (what happened). FP&A lives in the gap between them: budget vs actual vs forecast.

A **rolling forecast** drops the "we plan once a year in October and pray" model. Instead you always look 12–18 months ahead, re-forecasting every month or quarter, so the horizon "rolls" forward and never shrinks to zero in December.

Where it shows up on the job:

- **FP&A analyst / manager** — owns the monthly re-forecast and the board deck.
- **Business finance / finance business partner** — forecasts a specific P&L (a region, a product line, a plant).
- **Startup finance / founder's office** — cash runway and revenue forecasts for investors.
- **Treasury** — 13-week cash-flow forecast.
- **Corporate development / IB** — the operating model behind a DCF is a forecast.

If a job description says "variance analysis," "driver-based planning," "cash flow forecasting," or "management reporting," this chapter is the core skill.

The gap: why companies want this (and college didn't teach it)

College hands you a completed cash-flow statement and asks you to compute a ratio. Employers hand you a blank sheet and last year's messy actuals and say "tell me what Q3 looks like, and defend it." That is a completely different muscle.

Specifically, the gaps:

College taught	The job needs
One "correct" answer	A defensible <i>estimate</i> with assumptions written down
Static full-year budget	A living forecast updated monthly
Revenue as a single number	Revenue broken into drivers (units × price, or leads × conversion × ARPU)
Ignore what already happened	Run-rate the year-to-date actuals into the remaining months
Model never checked again	Forecast accuracy measured and improved each cycle

The commercial reason companies pay for this: a forecast that is wrong by 15% every quarter causes the wrong hiring, the wrong inventory buy, and a missed loan covenant. A finance person who forecasts within ±3–5% and *explains the miss* is directly protecting cash and credibility.

What "proficient" looks like

A job-ready person can, unaided:

1. Take 6 months of actuals + a budget and produce a full-year forecast in Excel with a clean **actuals | forecast** split (bold vertical line at the current month).
2. Choose the right method per line: **run-rate** for stable overheads, **driver-based** for revenue and variable cost.
3. Build a **rolling 12-month** version where changing "current month" re-slices actual vs forecast automatically.
4. Track **forecast accuracy** (MAPE / bias) and show whether they consistently over- or under-call.
5. Write a 5-bullet assumptions box a non-finance manager can challenge.
6. Explain a variance in business language: "Revenue is ₹4L below forecast because conversion dropped from 3.0% to 2.4%, not because traffic fell."

Hands-on: how to actually do it

1. Run-rate (simplest, for stable lines)

Run-rate = annualize what's happened so far. If YTD actual through month `n` is known:

```
' YTD actual in B2, current month number in B3 (e.g. 6)
=B2 / B3 * 12                                ' straight run-rate for the full year
=B2 + (B2 / B3) * (12 - B3)                  ' actual-to-date + run-rate for remaining months
```

Use run-rate for rent, salaries, subscriptions, insurance — costs that don't swing with volume.

2. Driver-based (for revenue and variable cost)

Break the number into the levers a manager actually controls. For a D2C business:

```
Revenue = Sessions × Conversion% × Average Order Value
```

```
' Sessions C2, Conversion C3, AOV C4
=C2 * C3 * C4
```

For variable cost tie it to the same driver:

```
' Units D2, cost per unit D3
=D2 * D3
```

The power: to model a scenario you change *one driver*, not 40 output cells.

3. The actuals-vs-forecast switch (the heart of a rolling model)

Put a single cell `CurrentMonth` (say = 6). Each month column knows if it's actual or forecast:

```
' Row of month numbers in C1:N1 (1..12), CurrentMonth in $B$1
' Actual row C2:N2, Forecast-logic below
=IF(C$1 ≤ $B$1, C_actual, C_forecast)
```

A cleaner pattern using named cells and SWITCH-style logic:

```
=IF(C$1 ≤ $B$1, INDEX(Actuals,C$1), INDEX(ForecastDrivers,C$1))
```

Then a live "Full Year" column blends both:

```
' Actuals for elapsed months + forecast for the rest
=SUMPRODUCT((MonthNums ≤ CurrentMonth)*ActualRow)
+ SUMPRODUCT((MonthNums > CurrentMonth)*ForecastRow)
```

4. Forecast accuracy (MAPE and bias)

Once actuals land, score last cycle's forecast:

```
' Actual A2:A13, Forecast F2:F13
' MAPE (lower = better; <5% is strong for revenue)
=AVERAGE(ABS(A2:A13 - F2:F13) / A2:A13) ' enter as array / dynamic array
' Bias (positive = you over-forecast on average)
=AVERAGE((F2:F13 - A2:A13) / A2:A13)
```

5. SQL to pull the actuals your forecast rests on

```
SELECT DATE_TRUNC('month', txn_date) AS month,
       SUM(amount) AS revenue,
       COUNT(DISTINCT order_id) AS orders
FROM sales
WHERE txn_date ≥ '2025-04-01' -- Indian FY start
GROUP BY 1
ORDER BY 1;
```

6. Python for a quick trend / seasonal forecast

```
import pandas as pd

df = pd.read_csv("monthly_revenue.csv", parse_dates=["month"])
df = df.set_index("month").asfreq("MS")

# 3-month moving-average run-rate
df["run_rate"] = df["revenue"].rolling(3).mean()

# simple seasonal index (this month vs 12-month avg)
df["seasonal_idx"] = df["revenue"] / df["revenue"].rolling(12).mean()
print(df.tail())
```

7. DAX (Power BI) — actual vs forecast in one measure

```
Actual or Forecast =
IF (
    MAX ( 'Calendar'[MonthNum] ) ≤ [Current Month],
    [Actual Revenue],
    [Forecast Revenue]
)

MAPE =
AVERAGEX (
    VALUES ( 'Calendar'[MonthNum] ),
    DIVIDE ( ABS ( [Actual Revenue] - [Forecast Revenue] ), [Actual Revenue] )
)
```

Worked example / mini-project

Business: a Bengaluru D2C skincare brand. FY26 (Apr–Mar). You have actuals Apr–Sep; forecast Oct–Mar.

Actuals (₹, revenue):

Month	Sessions	Conv%	AOV (₹)	Revenue (₹)
Apr	80,000	2.8%	950	21,28,000
May	85,000	2.9%	940	23,17,100
Jun	82,000	2.7%	960	21,25,440
Jul	90,000	3.0%	970	26,19,000
Aug	95,000	3.1%	980	29,58,100
Sep	98,000	3.0%	990	29,10,600

YTD actual revenue = ₹1,50,58,240.

Driver forecast Oct–Mar — assumptions written down: - Sessions grow 3% MoM (festive push Oct–Nov, +8% those two months). - Conversion holds at 3.0%. - AOV rises ₹10/month.

Month	Sessions	Conv%	AOV (₹)	Forecast Rev (₹)
Oct	1,05,840 (+8%)	3.0%	1,000	31,75,200
Nov	1,14,307 (+8%)	3.0%	1,010	34,63,500
Dec	1,17,736 (+3%)	3.0%	1,020	36,02,720
Jan	1,21,268	3.0%	1,030	37,47,180
Feb	1,24,906	3.0%	1,040	38,97,070
Mar	1,28,653	3.0%	1,050	40,52,570

Forecast H2 = ₹2,19,38,240. Full-year forecast = ₹3,69,96,480.

Now the accuracy check. Say last year you forecast Sep at ₹27,50,000 and actual came in ₹29,10,600:

$\text{Error\%} = (27,50,000 - 29,10,600) / 29,10,600 = -5.5\%$ (you under-forecast)

Do this for all six actual months, average the absolute values → your MAPE. If it's 4.2%, you tell the board: "Historical forecast accuracy is ~96%; treat the ₹3.70 Cr as ±₹15L."

Reproduce it: put months across columns, `CurrentMonth=6`, drivers in a block, and one `IF(month ≤ 6, actual, driver_forecast)` row. Add a MAPE cell. That single tab is a legitimate portfolio piece.

How it's tested

Interview questions: - "Walk me through building a revenue forecast for a business you know." (They want *drivers*, not "I'd grow it 10%.") - "Difference between budget, forecast, and actual?" - "Your forecast was off by 12% — how do you find out why?" (Bridge it by driver.) - "Run-rate vs driver-based — when each?" - "What's a rolling forecast and why bother?"

Practical assessments (very common in FP&A hiring): - **Timed Excel case (45–60 min):** given raw actuals + a budget, build a full-year forecast with an actuals/forecast split and a variance column. Scored on structure, correct `SUMPRODUCT` / `IF` logic, and a written assumptions box. - **"Break this forecast" exercise:** they hand you a model and ask what's wrong (hardcoded numbers inside formulas, no assumptions tab, circular references). - **Variance bridge:** turn a ₹4L revenue miss into a volume/price/mix waterfall. - **Case presentation:** 3–5 slides — forecast, key drivers, risks, ask. Communication is graded as heavily as the math.

Common mistakes & how pros avoid them

Mistake	Fix
Hardcoding numbers inside formulas (=C2*1.1)	Every assumption lives in its own labelled cell; formulas only reference cells
No assumptions tab	One box: growth %, conversion, AOV, headcount plan — dated and initialled
Forecasting the total, not the drivers	Always decompose: units × price, or funnel steps
Ignoring YTD actuals — re-forecasting from budget	Anchor on actuals; only the <i>remaining</i> months are forecast
Straight-lining seasonal businesses	Apply a seasonal index; festive/quarter-end spikes are real in India
Never scoring past accuracy	Track MAPE + bias each cycle; a persistent bias means fix the method
Sandbagging (deliberately low) or hockey-sticks	Bias metric exposes it; pros forecast the honest number and flag risk separately
One number, no range	Give base / best / worst, or "±X% based on historical accuracy"

Pros also keep a **version log** — snapshot each month's forecast so you can see how your Dec call for full-year revenue drifted from Aug to Nov. That drift *is* the story the CFO wants.

Learn-it roadmap & resources

Time to job-ready: 4–8 weeks of deliberate practice if your Excel is already decent.

Week	Focus
1	Excel mechanics: INDEX , SUMPRODUCT , IF , XLOOKUP , dynamic arrays; build a run-rate
2	Driver-based revenue model + assumptions tab
3	Rolling 12-month structure with the CurrentMonth switch
4	Variance bridge + MAPE/bias tracking
5–6	Full mini-project (like above) end to end; write the assumptions & risks
7–8	Power BI/DAX or Python version; present a 3-slide case out loud

Resources: - *Free:* Corporate Finance Institute (CFI) FP&A free lessons; Microsoft's Excel forecast docs; statsmodels / pandas docs for Python; any real company's investor deck (reverse-engineer their drivers). - *Paid / high-signal:* CFI **FMVA** certification (financial modeling + FP&A modules), Wall Street Prep FP&A course, Rob Marlow / Leila Gharani Excel on YouTube (free but excellent). - *Cert worth naming on a resume in India:* FMVA (CFI). Your CA Intermediate + MBA already cover the accounting depth — the modeling cert closes the "can you build it in Excel" question.

Build one public forecast model (dummy or a listed company's segment) and put it on GitHub/LinkedIn. That artifact beats any line on a CV.

Quick-reference

Need	Formula / step
Straight run-rate (full year)	<code>=YTD / MonthNo * 12</code>
Actual + run-rate remainder	<code>=YTD + (YTD/MonthNo)*(12-MonthNo)</code>
Driver revenue	<code>=Sessions * Conv% * AOV</code>
Actual/forecast switch	<code>=IF(Month ≤ CurrentMonth, Actual, Forecast)</code>
Blended full year	<code>=SUMPRODUCT((M ≤ Cur)*Act)+SUMPRODUCT((M > Cur)*Fcst)</code>
MAPE	<code>=AVERAGE(ABS(Act-Fcst)/Act)</code> (array)
Bias	<code>=AVERAGE((Fcst-Act)/Act)</code>
Variance %	<code>=(Actual-Forecast)/Forecast</code>

Rules of thumb: revenue MAPE < 5% is strong; run-rate stable overheads, driver-model everything volume-linked; anchor on actuals and only forecast the remaining months; every assumption in its own cell; snapshot each forecast version; always give a range, never a false single point.

Variance Analysis & Bridges

What it is & where it's used

Variance analysis is the discipline of explaining *why* actual results differ from plan (budget), forecast, or prior period — and doing it in a way that points a manager to a decision. A "bridge" is the structured walk from one number to another (Budget Revenue → Actual Revenue, or LY EBITDA → TY EBITDA) broken into named, additive drivers: price, volume, mix, FX, rate, efficiency, one-offs.

If you only remember one thing: **a variance is useless until it's decomposed into a driver someone owns.** "Revenue is ₹40 lakh below plan" is a symptom. "Volume was fine but realised price fell ₹18/unit because we over-discounted the North region" is an action.

Where it's used and who's tested on it:

Role	How variance analysis shows up
FP&A analyst	Monthly Budget-vs-Actual (BvA) deck, driver bridges, commentary
Business finance partner	Explaining a plant/region/product-line miss to the GM
Controller / R2R	Flux analysis at close (BS & P&L movement explanations)
Cost accountant (CA)	Standard costing variances (MPV, MUV, LRV, LEV, overhead)
Corporate strategy / IR	Bridging EBITDA/EPS growth for board and investor decks

The gap: why companies want this (and college didn't teach it)

College teaches the *formulas* — material price variance = $(SP - AP) \times AQ$ — as isolated exam sums. Industry needs the opposite skill: taking a messy actuals file plus a budget file, reconciling them to the last rupee, decomposing the gap into 4–6 drivers that **sum exactly** to the total variance, and writing three sentences a busy GM will act on.

The specific gaps:

- **Reconciliation, not calculation.** Real files don't tie. Actuals sit in the ERP at transaction grain; budget sits in a flat Excel by product-month. You must join them and prove the bridge foots.
- **Mix.** Almost no MBA course properly separates *volume* from *mix*. It's the driver managers most often get wrong, and the one interviewers probe.
- **Materiality & narrative.** A 40-line variance table is not analysis. Pros surface the 3 drivers that explain 80% of the gap and stay silent on noise.
- **Sign discipline.** Favourable/unfavourable (F/U) is not "positive/negative" — a cost overspend is a negative number but you must label it U. Getting this wrong in a board deck is career-limiting.

What "proficient" looks like

A job-ready person, handed a budget file and an actuals extract, can unaided:

1. Reconcile both to the same grain and confirm totals tie to the GL.
2. Build a **price/volume/mix bridge** where the components sum exactly to (Actual – Budget).

3. Produce a **waterfall chart** in Excel or Power BI showing the walk.
4. Correctly label every variance F or U with the right sign convention.
5. Apply a materiality threshold (e.g. > ₹5 lakh or > 5%) and comment on only those.
6. Write commentary in the form **[Driver] → [₹ impact, F/U] → [root cause] → [action/owner]**.
7. Do it monthly on a repeatable, refreshable model — not a one-off hack.

Hands-on: how to actually do it

The decomposition formulas (memorise these)

For a single product, comparing Budget (B) to Actual (A):

Total Rev variance = (Aqty × Aprice) – (Bqty × Bprice)

Price variance = (Aprice – Bprice) × Aqty

Volume variance = (Aqty – Bqty) × Bprice

Price + Volume = Total. That's the two-way split. Now add **mix** for a multi-product portfolio (the version employers actually want):

Volume variance = (Total Aunits – Total Bunits) × Budget avg price ← pure size

Mix variance = $\sum [(\text{Actual mix\%} - \text{Budget mix\%}) \times \text{Total Aunits} \times \text{Bprice}_i]$

Price variance = $\sum [(\text{Aprice}_i - \text{Bprice}_i) \times \text{Aqty}_i]$

Rate/efficiency (cost side, standard costing):

Material Price Var (MPV) = (Std price – Act price) × Act qty

Material Usage Var (MUV) = (Std qty – Act qty) × Std price

Labour Rate Var (LRV) = (Std rate – Act rate) × Act hrs

Labour Efficiency (LEV) = (Std hrs – Act hrs) × Std rate

Excel — building the bridge

Assume **Actuals** and **Budget** tables keyed by Product. Pull budget values next to actuals:

=XLOOKUP([@Product], Budget[Product], Budget[Qty])	'budget qty
=XLOOKUP([@Product], Budget[Product], Budget[Price])	'budget price

Per-row driver columns:

Price var	=([@ActPrice]-[@BudPrice])*[@ActQty]	
Volume var	=([@ActQty]-[@BudQty])*[@BudPrice]	
Check	=[@PriceVar]+[@VolVar]-([@ActQty]*[@ActPrice]-[@BudQty]*[@BudPrice])	'must be 0

Portfolio volume vs mix (SUMPRODUCT):

```
BudAvgPrice =SUMPRODUCT(Budget[Qty],Budget[Price])/SUM(Budget[Qty])
VolumeVar   =(SUM(Actuals[ActQty])-SUM(Budget[Qty]))*BudAvgPrice
MixVar       =SUMPRODUCT((Actuals[ActQty]/SUM(Actuals[ActQty])
                        -Budget[Qty]/SUM(Budget[Qty]))*SUM(Actuals[ActQty])*Budget[Price])
```

F/U flag:

```
=IF([@TotalVar] ≥ 0, "F", "U")      'revenue: positive = Favourable
=IF([@CostVar] ≤ 0, "F", "U")      'costs: spend below budget = Favourable
```

The waterfall chart (native, Excel 2016+)

Select the bridge series (Start, +Price, +Volume, +Mix, End) → **Insert** → **Waterfall**. Right-click the Start and End columns → **Set as Total**. Colour F green, U red. Done — no float-column hacks.

DAX (Power BI) measures

```
Price Var =
SUMX( VALUES(Sales[Product]),
      ([Actual Price] - [Budget Price]) * [Actual Qty] )

Volume Var =
( SUM(Actuals[Qty]) - SUM(Budget[Qty]) ) * [Budget Avg Price]

Total Var = [Actual Revenue] - [Budget Revenue]
Mix Var    = [Total Var] - [Price Var] - [Volume Var]    // plug so it foots
```

SQL — reconcile actuals to budget at source

```
SELECT  b.product,
        b.qty          AS bud_qty,
        b.price        AS bud_price,
        a.qty          AS act_qty,
        a.price        AS act_price,
        (a.price-b.price)*a.qty          AS price_var,
        (a.qty -b.qty )*b.price          AS volume_var,
        a.qty*a.price - b.qty*b.price    AS total_var
FROM      budget  b
LEFT JOIN  (SELECT product, SUM(qty) qty,
                  SUM(qty*price)/SUM(qty) price
            FROM  invoices WHERE period='2026-06'
            GROUP BY product) a  ON a.product=b.product
ORDER BY ABS(a.qty*a.price - b.qty*b.price) DESC;      -- biggest miss first
```

Python — reusable bridge function

```
import pandas as pd

def revenue_bridge(bud, act):
    m = bud.merge(act, on="product", suffixes=("_b", "_a"))
    m["price_var"] = (m.price_a - m.price_b) * m.qty_a
    m["volume_var"] = (m.qty_a - m.qty_b) * m.price_b
    tot_var = (m.qty_a*m.price_a - m.qty_b*m.price_b).sum()
    bud_avg = (bud.qty*bud.price).sum()/bud.qty.sum()
    vol = (act.qty.sum()-bud.qty.sum())*bud_avg
    mix = tot_var - m["price_var"].sum() - vol
    return {"price": m.price_var.sum(), "volume": vol,
            "mix": mix, "total": tot_var}
```

Worked example / mini-project

Setup: A mid-size Indian FMCG unit sells two SKUs. June 2026 budget vs actual:

SKU	Bud Qty	Bud Price ₹	Act Qty	Act Price ₹
Premium	10,000	250	9,000	260
Value	20,000	100	26,000	92

Budget revenue = $10,000 \times 250 + 20,000 \times 100 = ₹45,00,000$ Actual revenue = $9,000 \times 260 + 26,000 \times 92 = ₹23,40,000 + ₹23,92,000 = ₹47,32,000$ **Total variance = +₹2,32,000 (F)**

Now decompose:

Price = $(260-250) \times 9,000 + (92-100) \times 26,000 = +90,000 - 2,08,000 = \text{₹}1,18,000 \text{ (U)}$

Portfolio volume — budget avg price = $45,00,000 / 30,000 = \text{₹}150$. Total units: bud 30,000, act 35,000.
Volume = $(35,000-30,000) \times 150 = \text{₹}7,50,000 \text{ (F)}$

Mix = Total – Price – Volume = $2,32,000 - (-1,18,000) - 7,50,000 = \text{₹}4,00,000 \text{ (U)}$

Bridge (foots to +2,32,000):

Driver	₹	F/U
Budget revenue	45,00,000	
Price	-1,18,000	U
Volume	+7,50,000	F
Mix	-4,00,000	U
Actual revenue	47,32,000	F

Commentary a GM will act on:

Revenue beat plan by ₹2.3L (F), but the beat is low quality. Volume drove +₹7.5L as total units ran 17% ahead. This was more than offset by an adverse mix of -₹4.0L (growth came from Value SKU, up 30%, while Premium fell 10%) and adverse price of -₹1.2L (Value discounted ₹8/unit to move stock). **Action:** Sales to defend Premium volume and roll back Value discounting — current trajectory dilutes gross margin even as top line grows. Owner: Regional Sales Head.

Reproduce it: drop the four-row table into Excel, add the driver columns above, insert a Waterfall chart.

How it's tested

Interview questions: - "Revenue is up but margin is down — walk me through how you'd find why." (They want price/mix separation.) - "Difference between volume and mix variance?" (The classic filter.) - "This cost variance is +₹2L — favourable or unfavourable?" (Sign discipline trap.) - "Your bridge doesn't foot. Where do you look first?" (Grain mismatch, missing SKUs, FX.)

Practical assessments: - **Timed Excel test (45–60 min):** given `budget.xlsx` + `actuals.xlsx`, build a BvA with price/volume/mix bridge, a waterfall, and 3 bullets of commentary. - **Flux/close case:** "Here's this month's P&L vs last month — explain every line moving > ₹5L." (Controller roles.) - **Standard costing sum:** compute MPV/MUV/LRV/LEV and reconcile to total cost variance (CA/cost-accountant roles). - **Take-home:** a data set where the naive two-way split hides a mix story — they check if you catch it.

Common mistakes & how pros avoid them

Mistake	Fix
Bridge doesn't foot to total	Add a <code>check = sum(drivers) - total</code> column; never ship until 0
Confusing volume with mix	Volume = <i>size</i> at budget avg price; mix = <i>composition</i> shift. Compute volume first, plug mix
Wrong F/U sign on costs	Costs: under-spend = F. Revenue: over = F. Label explicitly, don't rely on sign
Commenting on everything	Set a materiality gate (₹ or %); comment on the top 3 drivers only
Cause with no action	Every comment ends in an action + owner, not just "due to lower volume"
Comparing apples to oranges	Reconcile grain/currency/period first; strip FX into its own bridge column
Double-counting price & mix	Price on Actual qty, mix as the plug — don't derive both independently

Learn-it roadmap & resources

Time to proficiency: 4–6 weeks part-time for someone with your accounting base.

- **Week 1:** Nail the formulas — two-way (price/volume), then three-way (add mix). Do 10 hand sums. Standard costing variances overlap directly with CA Cost material.
- **Week 2:** Rebuild the worked example in Excel; master XLOOKUP, SUMPRODUCT, native Waterfall.
- **Week 3:** Automate — the Python function above, or a Power BI model with the DAX measures. Learn to refresh, not rebuild.
- **Week 4:** Write commentary. Take any bridge and force yourself to 3 action-oriented bullets under a materiality gate.

Resources: - CA Inter Cost & Management Accounting — the standard costing chapter *is* variance analysis (free, you already have it). - CFI's *FP&A* and *Budgeting & Forecasting* courses (paid) — bridge and commentary templates. - Leila Gharani / "Excel Off The Grid" YouTube — waterfall and dynamic bridges (free). - Practice data: Kaggle "retail sales" sets; build BvA on them. - **Certification signal:** CMA (US) or CIMA cover this deeply; for your target roles, a strong Excel bridge in your portfolio beats another cert.

Quick-reference

Two-way:

$$\text{Price var} = (\text{Aprice} - \text{Bprice}) \times \text{Aqty}$$

$$\text{Volume var} = (\text{Aqty} - \text{Bqty}) \times \text{Bprice}$$

Three-way (portfolio):

$$\text{Volume} = (\Sigma \text{Aqty} - \Sigma \text{Bqty}) \times \text{Budget avg price}$$

$$\text{Mix} = \text{Total} - \text{Price} - \text{Volume} \quad (\text{plug, must foot})$$

Cost / standard costing:

$$\text{MPV} = (\text{Sp} - \text{Ap}) \times \text{Aq} \quad \text{MUV} = (\text{Sq} - \text{Aq}) \times \text{Sp}$$

$$\text{LRV} = (\text{Sr} - \text{Ar}) \times \text{Ah} \quad \text{LEV} = (\text{Sh} - \text{Ah}) \times \text{Sr}$$

Item	Rule
F/U — revenue	Actual > Budget = F
F/U — cost	Actual < Budget = F
Foot check	Σ drivers – total = 0 (mandatory)
Materiality	comment only if > ₹5L or > 5%
Waterfall	Insert → Waterfall → Set first/last as Total
Commentary	Driver → ₹ impact (F/U) → root cause → action + owner
Volume vs mix	Volume = size @ budget avg price; Mix = composition shift

Management reporting & the board deck

What it is & where it's used

Management reporting is the monthly ritual where Finance turns the trial balance into a story the leadership team can act on. Two artefacts dominate:

1. **The monthly reporting pack (MIS pack)** — a 15-40 page internal document circulated 5-10 working days after month-end. It carries the P&L vs budget, cash, working capital, department spend, and KPI dashboards.
2. **The board deck** — a tighter 12-20 slide summary presented to the board of directors / investors every month or quarter. It is the pack, distilled and narrated.

Roles that live in this work: **FP&A Analyst/Manager, Management Accountant, Business Finance Partner, Financial Controller, Head of Finance/CFO**, and in startups the **Finance lead** who does all of it alone. If a job description says "prepare monthly MIS," "budget vs actual variance analysis," "board reporting," or "flash reporting," this chapter is that job.

The gap: why companies want this (and college didn't teach it)

College teaches you to *prepare* financial statements per Ind AS / Schedule III. It does not teach you to **explain** them to a CEO who has 90 seconds. The gap is threefold:

- **From accuracy to insight.** Anyone can show that Gross Margin fell to 38%. The paid skill is stating *why* (input cost up 4%, discounting up 2%, mix shift toward low-margin SKUs) and *what to do*.
- **From statutory to managerial.** The board doesn't care about Schedule III line ordering. They want revenue by segment, contribution margin, cash runway, and CAC/LTV — cuts that never appear in the audited financials.
- **From data to narrative.** MBAs build DCFs; employers need someone who can build a clean waterfall, write a three-bullet commentary, and not blow up the CFO in front of the board. Nobody grades "commentary writing" in a degree, but it's the entire value of the role.

What "proficient" looks like

A job-ready person can, **unaided**, take a trial balance and a budget file and produce by Day 5:

- A **budget-vs-actual P&L** with variance columns (₹ and %) and a favourable/adverse flag.
- A **bridge/waterfall** explaining the movement in profit (or revenue) from budget to actual, or MoM.
- A **cash and working-capital** view: closing cash, burn, runway, DSO/DPO/DIO.
- A **one-page executive summary**: 3-5 bullets, each a number + cause + action.
- A **board deck** that opens with the punchline, not the appendix.
- Commentary that survives the "so what?" test on every slide.

They know the reporting calendar, tie every number back to the GL, and never present a variance they can't explain.

Hands-on: how to actually do it

1. The variance table (Excel)

Assume actuals in column C, budget in D. Variance and flag:

```
Variance ₹:    =C2-D2
Variance %:    =IFERROR((C2-D2)/ABS(D2),"n/a")
Flag:         =IF(N2=0,"-",IF(ISNUMBER(SEARCH("expense",$A2)),IF(C2<D2,"Fav","Adv"),IF(C2>D2,"Disf","Adv")))
```

For revenue/profit rows, actual > budget is Favourable; for cost rows it flips — hence the SEARCH("expense" ...) switch, or keep a sign column.

Pull actuals from the GL dump with a keyed lookup instead of manual typing:

```
=XLOOKUP($A2, GL!$B:$B, GL!$H:$H, 0)           'exact GL account match
=SUMIFS(GL!$H:$H, GL!$C:$C, $A2, GL!$E:$E, "≥"&$F$1, GL!$E:$E, "≤"&$G$1) 'sum by cost cent
```

Materiality filter — only comment on what matters. A common rule: variance is reportable if ABS(₹) > 500000 OR ABS(%) > 10% .

```
=IF(OR(ABS(E2)>500000, ABS(F2)>0.10), "COMMENT", "")
```

2. The profit bridge (waterfall)

Insert → Chart → Waterfall in Excel 365. Data laid out as:

Step	Value (₹ lakh)
Budget EBITDA	120
Volume	+18
Price	+9
Input cost	-14
Employee cost	-6
Actual EBITDA	127

Mark "Budget EBITDA" and "Actual EBITDA" as **Totals** (double-click the point → Set as Total) so they anchor to the axis.

3. Rolling KPIs (Power BI / DAX)

```
Revenue MTD = CALCULATE([Revenue], DATESMTD('Date'[Date]))
Revenue YTD = CALCULATE([Revenue], DATESYTD('Date'[Date]))
Var to Budget % = DIVIDE([Revenue] - [Budget], [Budget])
Gross Margin % = DIVIDE([Revenue] - [COGS], [Revenue])
Cash Runway (months) = DIVIDE([Closing Cash], AVERAGEX(DATESINPERIOD('Date'[Date], MAX('Date'[Date]),
```

4. Pull the trial balance from Tally

TallyPrime → **Gateway of Tally** → **Display More Reports** → **Trial Balance** → **F12 (Configure)** set "Show Closing Balances" = Yes → **Alt+E (Export)** → **Excel (Spreadsheet)**. For segment cuts, enable **Cost Centres** first (F11 → Maintain Cost Centres = Yes) and export the **Cost Centre Breakup**.

5. Automating the merge (Python)

```
import pandas as pd

actual = pd.read_excel("tb_jun26.xlsx")          # GL account, Amount
budget = pd.read_excel("budget_fy27.xlsx")       # GL account, Jun

rep = actual.merge(budget, on="GL account", how="left", suffixes=("_act", "_bud"))
rep["Var_INR"] = rep["Amount"] - rep["Jun"]
rep["Var_pct"] = rep["Var_INR"] / rep["Jun"].abs()
rep["Flag"]    = rep["Var_pct"].apply(lambda x: "Adv" if x < -0.10 else ("Fav" if x > 0.10 else "Bal"))
rep.to_excel("variance_jun26.xlsx", index=False)
```

Worked example / mini-project

Company: Zephyr Foods Pvt Ltd, a D2C snacks brand. June FY27 close.

Reporting P&L (₹ lakh):

Line	Actual	Budget	Var ₹	Var %	Flag
Net Revenue	480	500	-20	-4%	Adv
COGS	298	300	-2	fav cost	Fav
Gross Profit	182	200	-18	-9%	Adv
GM %	37.9%	40.0%	-2.1pp		Adv
Marketing	96	85	+11	+13%	Adv
Employee cost	54	55	-1		Fav
Other opex	32	30	+2		Adv
EBITDA	0	30	-30		Adv

Cash: Opening ₹620L, closing ₹548L, net burn ₹72L → runway = 548 / (avg 3-mo burn ₹68L) = **8.1 months**.
DSO 42 days (up from 35), DIO 61 days.

Executive summary (this is the deliverable that earns the salary):

- **Revenue ₹480L, 4% below budget** — offline distributor sell-through slowed in Tier-2 (-₹28L); e-com grew +₹8L, partly offsetting.
- **Gross margin fell to 37.9% (-2.1pp)** — heavier discounting on the ₹99 SKU during the Amazon sale drove it; input costs were actually favourable.
- **EBITDA at breakeven vs ₹30L budget** — the miss is 60% margin, 40% a ₹11L marketing overspend on a campaign pulled forward from July.
- **Runway 8.1 months, DSO up 7 days** — one distributor is ₹40L overdue; collections escalated, targeting closure by 15 Jul.
- **Ask:** approve reallocating July marketing (already spent in June) and tighten discount-approval to protect Q2 margin.

Board deck order (12 slides): (1) Executive summary, (2) EBITDA bridge budget→actual, (3) Revenue by channel, (4) Gross margin trend + driver, (5) Opex, (6) Cash & runway, (7) Working capital / AR ageing, (8) KPI scorecard (CAC, LTV, repeat rate), (9) Key risks, (10) Decisions requested, (11) Next-month outlook, (12) Appendix.

How it's tested

Interview questions: - "Walk me through how you'd build a monthly MIS pack from a trial balance." - "Gross margin dropped 200bps this month. How do you find out why?" - "What's the difference between a statutory P&L and a management P&L?" - "How do you decide what goes on a board slide vs the appendix?" - "What's your reporting calendar look like around close?"

Practical assessments: - **Timed Excel/case (60-90 min):** given a raw TB and a budget tab, build the variance P&L, a waterfall, and write a 5-bullet summary. Graded on formula cleanliness (no hardcoding), correct fav/adverse logic, and whether commentary explains *causes*. - **"Fix the deck" test:** they hand you a bloated 40-slide deck and ask you to cut it to 12 and rewrite the opening slide. - **Live commentary drill:** here's the variance table — give me three bullets in two minutes.

Common mistakes & how pros avoid them

Mistake	What pros do
Reporting <i>what</i> happened, never <i>why</i>	Every material variance gets a one-line cause and action
Commentary restates the number ("Revenue was ₹480L")	State cause + quantify + implication
Data doesn't tie to the GL	Reconcile the pack total to the TB before circulating — always
40-slide deck, punchline on slide 31	Answer-first: executive summary is slide 1
Commenting on every line	Apply a materiality threshold; stay silent on noise
Hardcoded numbers, broken next month	Formula-driven, refreshable from a single data tab
Inconsistent numbers across slides	One source-of-truth data model feeds every slide
Presenting a variance you can't explain	Never take a number to the board you haven't traced
Colours/signs flipped (adverse shown green)	Lock a convention: adverse = red, favourable = green, consistently

Learn-it roadmap & resources

Time to proficiency: 6-10 weeks of deliberate practice if you already know Excel and basic accounting.

- **Weeks 1-2:** Master variance tables, SUMIFS/XLOOKUP, and fav/adverse logic. Rebuild a real company's segment P&L from its annual report.
- **Weeks 3-4:** Waterfalls, bridges, and writing commentary. Draft a 5-bullet exec summary daily on any dataset.
- **Weeks 5-6:** Build a KPI dashboard in Power BI or Excel. Learn the close calendar and reconciliation discipline.
- **Weeks 7-10:** Assemble a full mock board deck end-to-end and get it critiqued.

Resources: - CFI **FP&A** and **Financial Modeling (FMVA)** courses (paid) — strong on reporting structure. - Free: **Corporate Finance Institute** blog on variance analysis; **Microsoft Learn** for DAX; the "Financial Times of variance commentary" — practice by writing your own on public quarterly results. - Books: *Financial Planning & Analysis and Performance Management* (Alexander). - India: ICAI SFM/Cost material for cost-variance mechanics; study any listed company's investor deck as a board-deck template.

Quick-reference

Item	Formula / Step
Variance ₹	=Actual-Budget
Variance %	=IFERROR((Act-Bud)/ABS(Bud),"n/a")
Pull actual from GL	=SUMIFS(GL!Amt, GL!Acct, key, GL!Date, "≥"&start, GL!Date, "≤"&end)
Materiality flag	=IF(OR(ABS(var)>500000,ABS(pct)>0.10),"COMMENT","")
Runway (months)	Closing cash / avg monthly net burn
DSO	AR / Revenue × days
DPO	AP / COGS × days
DIO	Inventory / COGS × days
GM % (DAX)	DIVIDE([Rev]-[COGS],[Rev])
Tally TB export	Display More Reports → Trial Balance → Alt+E → Excel
Deck rule	Answer-first; exec summary slide 1; appendix last
Commentary formula	Number + Cause + Implication + Action
Colour convention	Adverse = red, Favourable = green
Close cadence	Pack by working day 5; board deck by day 7-10

The one line to remember: the board doesn't pay you to report the number — they pay you to explain the number and tell them what to do about it.

The driver-based operating model

What it is & where it's used

A **driver-based operating model** is a P&L (and often a mini balance sheet / cash view) where the numbers are *outputs* of operational assumptions, not typed-in guesses. Instead of "Revenue next month = ₹1.2 Cr because gut feel", you build:

Revenue = **Units sold** × **Price**, where Units sold = **Sales reps** × **Deals per rep** × **Win rate**, and Price = **List price** × (1 – discount %).

Change the number of reps or the win rate, and the whole P&L moves — consistently, traceably. The "drivers" are the handful of real-world levers (headcount, traffic, conversion, price, utilisation, occupancy, throughput) that management can actually pull.

Where it's used, by role:

Role	How they use it
FP&A analyst	Monthly forecast, annual operating plan (AOP), budget-vs-actual bridges
Corporate finance / strategy	Scenario planning, board decks, "what if we hire 10 reps"
Startup finance / founder's office	Investor model, runway, unit economics, fundraising deck
Business finance partner	Sitting with the Sales/Ops head, translating their plan into rupees
Investment/PE analyst	Bottoms-up revenue build for a target company

This is the single most-hired-for skill in FP&A. "Can you build a driver-based model?" is asked in almost every FP&A interview in India and globally.

The gap: why companies want this (and college didn't teach it)

MBA finance teaches you to *analyse* a given P&L: ratios, CAPM, NPV of a fixed cash-flow stream. It rarely teaches you to *construct* the P&L from operations. CA/Inter teaches you to *record and report* what already happened (accounting), and *cost* per unit — but not to project forward off business drivers under uncertainty.

The gap employers pay to close:

1. **Forward vs backward.** Accounting looks back; FP&A builds the number *before* it happens.
2. **Drivers vs line items.** College says "assume revenue grows 10%". Industry asks "why 10% — is it price or volume, and which lever created it?" A flat growth % is unusable in a board meeting because no one can act on it.
3. **Structure & auditability.** A real model separates **inputs (blue)**, **calculations (black)**, **outputs**. Nobody hard-codes a number inside a formula. Colleges never grade you on model hygiene.
4. **Linkage.** Revenue drives COGS drives headcount drives cash. College treats these as separate chapters; the job treats them as one connected sheet.

Close this gap and you're immediately more useful than someone who only knows Excel functions.

What "proficient" looks like

A job-ready person can, unaided:

- Take a business ("D2C skincare brand", "SaaS", "QSR restaurant chain") and **name its 5–8 real drivers** in under two minutes.
- Build a **12-month driver-based P&L** in Excel with a clean input block, monthly calc engine, and summary — properly colour-coded and formula-linked (zero hard-codes in calc cells).
- Wire a **scenario switch** (Base / Upside / Downside) that flips the whole model from one cell.
- Explain a **variance**: "Revenue missed by ₹40 lakh — ₹30L was volume (fewer units), ₹10L was price (higher discounting)."
- Sanity-check outputs with **ratios and reasonableness** (gross margin %, revenue per head, is EBITDA margin plausible for this industry?).
- Do it **fast** — a timed case in 60–90 minutes.

Hands-on: how to actually do it

Step 1 — Lay out the structure

Three zones. Use fill colours: **blue font = input**, **black = formula**, **green = link from another sheet**.

[INPUTS]	drivers & assumptions (editable)
[CALC ENGINE]	monthly build: Jan..Dec across columns
[OUTPUT]	P&L summary, KPIs, scenario toggle

Step 2 — Build the driver revenue block (SaaS example)

Put months across columns (C:N). Assumptions down the left.

	Jan	Feb	Mar ...	
New leads	2,000	2,100	2,205	← input, grows 5%/mo
Lead→trial %	10%	10%	10%	← input
Trial→paid %	25%	25%	25%	← input
New customers	=C_leads*C_l2t*C_t2p			
Churn %	3%			
Beginning custs	0	=prev End		
Ending custs	=Begin + New - Begin*Churn%			
ARPU (₹/mo)	1,500			
MRR (₹)	=Ending custs * ARPU			

Excel for New customers in C6:

=C2*C3*C4

Ending customers in C8 (Feb onward references prior End):

```
=C7 + C6 - C7*C5
```

MRR:

```
=C8*C9
```

Step 3 — Drive costs *off* the same engine

Costs should be formulas of drivers, not standalone lines.

COGS / hosting	= MRR * 0.15	'gross margin driver
Sales headcount	= ROUNDUP(New_customers / 20, 0)	'1 rep closes 20/mo
Sales salary cost	= Sales_headcount * 80000	'₹80k/head/mo
CAC spend	= New_leads * 50	'₹50 cost per lead

Step 4 — Use lookups so structure stays clean

Pull an assumption by name instead of hard-referencing a cell:

```
=XLOOKUP("ARPU", Assumptions[Driver], Assumptions[Value])
```

Older Excel / Google Sheets:

```
=INDEX(Assumptions!$C:$C, MATCH("ARPU", Assumptions!$B:$B, 0))
```

Step 5 — Add a scenario switch

Cell **B1** holds **Base / Upside / Downside** . Store three columns of assumptions and pick with:

```
=CHOOSE(MATCH($B$1,{"Base";"Upside";"Downside"},0), C_base, C_up, C_down)
```

Or with a data table / **SWITCH** :

```
=SWITCH($B$1, "Base", 5%, "Upside", 8%, "Downside", 2%) 'monthly lead growth
```

Step 6 (optional) — Same model in Python for a large forecast

```
import pandas as pd
m = pd.date_range("2026-04-01", periods=12, freq="MS")
d = pd.DataFrame(index=m)
d["leads"] = 2000 * (1.05 ** range(12))
d["new_cust"] = d.leads * 0.10 * 0.25
cust, beg = [], 0
for n in d.new_cust:
    end = beg + n - beg*0.03
    cust.append(end); beg = end
d["end_cust"] = cust
d["MRR"] = d.end_cust * 1500
d["COGS"] = d.MRR * 0.15
d["gross_profit"] = d.MRR - d.COGS
print(d.round(0))
```

Variance analysis (price vs volume bridge)

Volume variance = (Actual units - Budget units) × Budget price
Price variance = (Actual price - Budget price) × Actual units

Excel:

```
=(Act_units-Bud_units)*Bud_price    'volume effect
=(Act_price-Bud_price)*Act_units    'price effect
```

Worked example / mini-project — QSR restaurant chain (India)

Build a monthly P&L for a cloud-kitchen brand. Reproduce this.

Drivers (inputs):

Driver	Value
Orders/day/kitchen	120
Kitchens live	4 (add 1 every quarter)
Average order value (AOV)	₹350
Days/month	30
Food cost %	32% of revenue
Packaging/order	₹18
Delivery commission	22% of revenue
Staff/kitchen	6 @ ₹18,000/mo
Rent/kitchen	₹60,000/mo

Calc (Month 1, 4 kitchens):

Orders/mo	= 120 × 30 × 4	= 14,400
Revenue	= 14,400 × ₹350	= ₹50,40,000
Food cost	= 32% × Revenue	= ₹16,12,800
Packaging	= 14,400 × ₹18	= ₹2,59,200
Commission	= 22% × Revenue	= ₹11,08,800
Staff	= 6 × 4 × ₹18,000	= ₹4,32,000
Rent	= 4 × ₹60,000	= ₹2,40,000
EBITDA	= 50.40L - 16.13 - 2.59 - 11.09 - 4.32 - 2.40	
	= ₹13,87,200 (27.5% margin)	

Excel layout — Revenue row across 12 months, kitchens stepping up:

```

Kitchens (C): =IF(MOD(COLUMN()-COLUMN($C$1),3)=0, B_kitchens+1, B_kitchens)
Orders (C): =120*30*C_kitchens
Revenue (C): =C_orders*350
Food (C): =C_revenue*0.32
EBITDA (C): =C_revenue-C_food-C_pack-C_comm-C_staff-C_rent
EBITDA % (C): =C_ebitda/C_revenue

```

Now the payoff: change **Orders/day from 120 to 100** in *one* input cell — EBITDA margin drops to ~20% and you can tell the founder exactly why. Change AOV to ₹400 and watch margin expand. That live sensitivity is the deliverable.

Extension: add a scenario toggle (Base 120 / Upside 150 / Downside 90 orders/day) and a 12-month EBITDA chart.

How it's tested

Interview questions: - "Walk me through how you'd build a revenue model for [our business]." - "What are the 3 biggest drivers of this P&L? Which would you stress-test?" - "Revenue is up 15% but EBITDA is flat — what happened?" (tests driver thinking) - "How do you separate price effect from volume effect?" - "How do you keep a model auditable when three people edit it?"

Practical assessments (common in India + globally): 1. **Timed Excel case (60–90 min):** "Here's a business description and some assumptions. Build a 12-month driver-based P&L with a scenario switch." Graded on structure, formula linkage (no hard-codes), correctness, and colour-coding. 2. **Take-home model:** Build an investor/operating model over 2–3 days; present it. 3. **Live "break my model":** They change an input and watch whether your P&L flows correctly and whether you can explain the movement. 4. **Case interview (consulting/strategy):** Verbal driver tree — "estimate annual revenue of a Domino's outlet" (seats/orders/AOV).

Prep tip: keep a **blank driver-model template** you can rebuild from memory in 30 minutes.

Common mistakes & how pros avoid them

Mistake	Why it hurts	Pro fix
Hard-coding numbers inside calc formulas	Nobody can trace or flex it	Every number lives once, in a blue input cell; calcs only reference
Growth % with no driver behind it	"10% because 10%" — unactionable	Decompose into price × volume, or leads × conversion
Costs typed independently of revenue	Model breaks when volume changes	Drive variable costs <i>off</i> revenue/units
No input/output separation	Reviewers can't audit	Blue/black/green colour convention, dedicated Inputs tab
Over-engineering (200 drivers)	Slow, fragile, unreadable	5–8 drivers that matter; rest are ratios
Circular references (interest ↔ cash)	#REF errors, breaks	Iterative calc on, or a copy-paste "circularity switch"
No sanity check	Ships a 60% EBITDA margin for a QSR	Benchmark margins/ratios before sending
Balance sheet doesn't balance	Instant credibility loss	Build a check row: Assets – (L+E) = 0

Learn-it roadmap & resources

Time to proficiency: 6–10 weeks part-time if you already know Excel basics. Realistic milestones:

- **Week 1–2:** Master INDEX/MATCH / XLOOKUP , CHOOSE , SUMIFS , absolute vs relative refs, colour convention. Build a single-page revenue driver block.
- **Week 3–4:** Full 12-month P&L for one business type; add variable-cost linkage.
- **Week 5–6:** Scenario toggle, sensitivity/data tables, variance (price/volume) bridge.

- **Week 7–8:** 3-statement linkage (P&L → BS → CF) and a check row; then rebuild from a blank sheet under a timer.

Resources: - *Free:* CFI's free Excel/financial-modeling articles; Aswath Damodaran's model spreadsheets (NYU, free); Corporate Finance Institute YouTube; the "Breaking Into Wall Street" free tutorials. - *Paid (India-relevant):* CFI **FMVA** certification (~US\$500–800, globally recognised); WallStreetPrep / BIWS financial modeling course; Udemy "Financial Modeling for FP&A" courses (₹500–2,000 on sale). - *Practice:* rebuild the operating models of listed companies (Zomato, Nykaa, DMart) from their annual reports — reverse-engineer the drivers.

Certifications that signal this skill: FMVA (CFI), CFA (concepts, not modeling per se), and simply a strong take-home model on your GitHub/portfolio — for FP&A roles a good sample model beats a certificate.

Quick-reference

Driver trees (memorise): | Business | Revenue = | |---|---| | SaaS | Customers × ARPU; Customers = Leads × Conv% – Churn | | Retail/QSR | Stores × Orders/day × Days × AOV | | E-commerce | Traffic × Conversion% × AOV | | Services/consulting | Billable heads × Utilisation% × Hours × Rate | | Manufacturing | Capacity × Utilisation% × Price/unit |

Key formulas:

Pick assumption:	=XLOOKUP(key, names, values)
Scenario switch:	=CHOOSE(MATCH(\$B\$1,{"Base";"Up";"Down"},0), a,b,c) =SWITCH(\$B\$1,"Base",x,"Up",y,"Down",z)
Volume variance:	=(Act_qty–Bud_qty)*Bud_price
Price variance:	=(Act_price–Bud_price)*Act_qty
Gross margin %:	=(Revenue–COGS)/Revenue
Revenue/head:	=Revenue/Headcount
BS check row:	=Total_assets–(Total_liab+Total_equity) 'must = 0

Colour convention: blue = input · black = formula · green = link · never hard-code inside a calc.

Reasonableness benchmarks (India, rough): SaaS gross margin 70–85% · QSR EBITDA 15–25% · retail net margin 3–6% · IT services EBITDA 18–25%.

Golden rule: if you can't point to the *driver* behind a number, it isn't a model — it's a guess.

Scenario & sensitivity planning

What it is & where it's used

Scenario and sensitivity planning is the discipline of asking "**what if the world is different from my base plan?**" and answering it with numbers, not adjectives. Two distinct techniques hide under this umbrella:

- **Sensitivity analysis** — change *one* driver at a time (price, volume, GST rate, USD/INR, interest rate) and watch what happens to profit, cash, or valuation. Answers: "How fragile is my number?"
- **Scenario analysis** — change *a bundle* of drivers together into a coherent story (Base / Best / Worst), because in real life a demand crash also drags price and forex with it. Answers: "What range of outcomes am I actually staring at?"

Where it shows up on the job: - **FP&A analyst** — building the annual operating plan (AOP) with upside/downside cases the CFO presents to the board. - **Corporate finance / M&A** — DCF valuations always carry a sensitivity table on WACC and terminal growth. - **Credit & lending** — banks stress-test a borrower's DSCR under a downside case before sanctioning. - **Treasury** — forex and interest-rate sensitivity on covenants and cash runway. - **Investment / equity research** — bull/base/bear target prices. - **Startup finance** — runway under fast-burn vs slow-burn cases for the next fundraise.

The gap: why companies want this (and college didn't teach it)

Your MBA taught you to compute *one* NPV, *one* IRR, *one* EPS. Real business runs on **ranges and triggers**, not point estimates. The board never asks "what's the number?" — it asks "what happens if China dumps, if the rupee hits 90, if we lose our largest client?"

The specific gaps: - College builds **static** models. Industry needs a model where you change an input cell and everything downstream recalculates cleanly — which requires you to actually *link* formulas instead of hardcoding. - College treats assumptions as given. Industry pays you to **isolate the 3-4 drivers that matter** out of 200 line items, and to know which one, if wrong, sinks the plan. - College stops at the answer. Industry wants the **decision**: at what volume do we break even, at what forex rate do we breach our loan covenant, how much can price fall before this deal is NPV-negative.

A person who can build a clean driver-based model with a working scenario switch and a two-variable data table is worth 2-3x a person who can only reproduce a textbook NPV.

What "proficient" looks like

A job-ready person can, unaided:

1. **Structure a model so every assumption lives in one place** (a colour-coded input block) and flows through formulas — no hardcoded numbers buried in calculations.
2. Build a **scenario switch** (one cell drives Base/Best/Worst) using `CHOOSE` or `INDEX`, so the whole P&L flips with one dropdown.
3. Run a **one-variable and two-variable Data Table** (Excel's `What-If Analysis`) and read a **tornado chart** to rank drivers by impact.
4. State the **decision-useful output**: break-even point, margin of safety, the threshold value of a driver (e.g. "NPV goes negative below ₹92/unit"), and the probability-weighted expected value.

5. Explain **which scenario is realistic vs stress** — Best/Worst are planning bookends, not forecasts, and shouldn't be simple $\pm 10\%$ on everything.

Hands-on: how to actually do it

1. The scenario switch (the heart of it)

Put a single control cell, say **C1**, holding 1, 2, or 3 (Base/Best/Worst). Lay assumptions in a grid, then pull the active one with **CHOOSE**:

	B	C(Base)	D(Best)	E(Worst)	
Row5	Volume	=CHOOSE(\$C\$1, C5, D5, E5)	1,00,000	1,20,000	75,000
Row6	Price	=CHOOSE(\$C\$1, C6, D6, E6)	500	540	460
Row7	Var cost	=CHOOSE(\$C\$1, C7, D7, E7)	300	290	320

Cell **B5** formula: =CHOOSE(\$C\$1, C5, D5, E5) — flip **C1** and the entire model recalculates. **INDEX** works too: =INDEX(C5:E5, \$C\$1).

Make **C1** a dropdown: **Data** → **Data Validation** → **List** → **1,2,3**, or map to text with =MATCH(F1, {"Base", "Best", "Worst"}, 0).

2. One-variable sensitivity (Data Table)

Layout: put your output formula (say EBITDA in **H1**) at top-right, list the driver values down a column, then select the block and **Data** → **What-If Analysis** → **Data Table** → **Column input cell = the price cell**.

	=H1(EBITDA formula)	
460	2,10,00,000	
480	3,00,00,000	
500	3,90,00,000	← base
520	4,80,00,000	
540	5,70,00,000	

3. Two-variable sensitivity (the classic valuation table)

Corner cell = output (NPV). Rows = terminal growth, columns = WACC. Select the whole grid → **Data Table** → **Row input = WACC cell, Column input = growth cell**.

NPV	10%	11%	12%	13%
2.0%	1,240	1,050	900	770
2.5%	1,380	1,160	985	840
3.0%	1,560	1,290	1,085	920

4. Threshold / break-even with Goal Seek

Data → **What-If** → **Goal Seek** → **Set NPV cell To 0 by changing Price cell**. It solves for the price where NPV = 0 — your decision trigger.

Break-even volume by formula:

```
=Fixed_Cost / (Price - Variable_Cost_per_unit)
Margin of Safety % = (Actual_Sales - BEP_Sales) / Actual_Sales
```

5. Python — Monte Carlo when ranges beat three cases

```
import numpy as np
rng = np.random.default_rng(42)
n = 100_000
volume = rng.normal(100_000, 15_000, n)          # demand uncertainty
price = rng.triangular(460, 500, 540, n)         # min, mode, max
varcost= rng.triangular(290, 300, 320, n)
fixed = 2_00_00_000
ebitda = volume*(price-varcost) - fixed
print(f"Mean EBITDA: Rs {ebitda.mean():,.0f}")
print(f"P(loss): {(ebitda<0).mean():.1%}")
print(f"5th pctl (worst case): Rs {np.percentile(ebitda,5):,.0f}")
```

6. Python — one-line tornado (driver ranking)

```
base = {"price":500,"vol":100000,"vc":300,"fixed":20000000}
def ebitda(p): return p["vol"]*(p["price"]-p["vc"])-p["fixed"]
b = ebitda(base)
for k in ["price","vol","vc"]:
    lo, hi = dict(base), dict(base)
    lo[k]*=0.9; hi[k]*=1.1
    print(f"{k:6} swing: Rs {abs(ebitda(hi)-ebitda(lo)):.0f}")
```

Sort the swings descending and you have a tornado chart's data.

Worked example / mini-project

Company: a mid-size auto-component maker, "Bharat Forgings Ltd." Build a one-year EBITDA plan with three cases and find the decision triggers.

Base assumptions:

Driver	Base	Best	Worst
Volume (units)	1,00,000	1,20,000	75,000
Price (₹/unit)	500	540	460
Variable cost (₹/unit)	300	290	320
Fixed cost (₹)	2,00,00,000	2,00,00,000	2,10,00,000

Compute EBITDA per case — $\text{Volume} \times (\text{Price} - \text{VarCost}) - \text{Fixed}$:

Case	Contribution/unit	EBITDA
Base	₹200	$1,00,000 \times 200 - 2,00,00,000 = \text{₹}0$
Best	₹250	$1,20,000 \times 250 - 2,00,00,000 = \text{₹}1,00,00,000$
Worst	₹140	$75,000 \times 140 - 2,10,00,000 = \text{₹}-99,00,000$

The Base case sits *exactly at break-even* — a red flag that leaps out the moment you build the table. This is the value of the exercise.

Probability-weighting (management assigns 60% Base, 15% Best, 25% Worst):

$$\begin{aligned}\text{Expected EBITDA} &= 0.60(0) + 0.15(1,00,00,000) + 0.25(-99,00,000) \\ &= 0 + 15,00,000 - 24,75,000 = \text{₹}-9,75,000\end{aligned}$$

Expected value is *negative* even though the base looks fine — the fat downside tail dominates. Decision: renegotiate the fixed-cost base or lock in a minimum-volume contract before committing.

Break-even trigger (Goal Seek on Base): to reach EBITDA of ₹50 lakh, solve required price: $\text{Price} = (\text{Fixed} + \text{Target}) / \text{Volume} + \text{VarCost} = (2,00,00,000 + 50,00,000) / 1,00,000 + 300 = \text{₹}550$. So management needs a **10% price rise** or the plan under-delivers.

Reproduce it: put the four drivers in rows with a **CHOOSE** switch in **C1**, drop a two-variable Data Table of Price (rows) × Volume (columns) against EBITDA, and add a tornado using the Python snippet above.

How it's tested

Interview questions: - "Walk me through how you'd build a Base/Best/Worst case for this business." - "What's the difference between sensitivity and scenario analysis?" - "Your DCF says NPV is ₹500 cr. Which two inputs would you sensitise and why?" - "Volume falls 20% — is that best handled by a scenario or a sensitivity?" - "What's margin of safety and why does the board care?"

Practical/assessment tests you will actually get: - **Timed Excel test (45-60 min):** given a raw P&L, build a driver-based model with a working scenario dropdown and a two-variable data table. Graders check: are inputs separated from formulas, does flipping the switch recalc everything, is there any hardcoded number inside a calculation. - **Case study:** "Here's a factory investment. Should we build it?" — expected deliverable is NPV with a sensitivity table and a written recommendation naming the trigger variable. - **Live model audit:** they hand you someone's model and ask "what breaks this?" — you're expected to find the assumption that swings the answer most.

Common mistakes & how pros avoid them

Mistake	Why it's wrong	Pro fix
Best/Worst = base $\pm$ 10% on every line	Drivers don't move independently; this is lazy	Build coherent <i>stories</i> — a demand shock also hits price and utilisation
Hardcoding numbers inside formulas	Scenario switch can't reach them; model lies	Every assumption in a coloured input cell, formulas reference cells only
Sensitising 15 variables	Noise, no signal	Tornado-rank first, sensitise the top 3-4
Symmetric up/down assumptions	Downside is usually fatter (costs spike faster than they fall)	Use asymmetric ranges; check the loss tail
Presenting three numbers, no decision	Board wants the "so what"	Always state the trigger/threshold and the recommended action
Forgetting cash & covenants	A profitable worst case can still breach DSCR and default	Stress the balance sheet and covenants, not just EBITDA
Circular references from interest-on-debt	Model shows #REF /circular warning	Enable iterative calc deliberately, or use a copy-paste interest toggle

Learn-it roadmap & resources

Time to proficiency: 4-6 weeks part-time if you already know Excel basics.

- **Week 1-2:** Master CHOOSE , INDEX/MATCH , Data Validation dropdowns, and the What-If Analysis menu (Data Table, Goal Seek, Scenario Manager). Rebuild any past P&L as a driver-based model.
- **Week 3:** One- and two-variable data tables + tornado charts. Do 5 DCF sensitivity tables.
- **Week 4:** Break-even, margin of safety, probability-weighting, expected value.
- **Week 5-6:** Monte Carlo in Python (numpy), and stress-testing balance-sheet covenants.

Resources: - *Free:* Corporate Finance Institute (CFI) free scenario-analysis lessons; ASimpleModel.com (excellent free model-building series); Aswath Damodaran's NYU valuation lectures on YouTube (the gold standard for sensitivity in DCF). - *Paid:* CFI's **FMVA** certification (has a dedicated scenario & sensitivity module) — most recognised for FP&A/corp-fin roles. Wall Street Prep / Breaking Into Wall Street modelling courses. - *India-specific:* For CA students, the Cost & FM papers already cover marginal costing, break-even and margin of safety — connect that theory directly to the Excel build.

Quick-reference

Task	Tool / Formula
Scenario switch	<code>=CHOOSE(\$C\$1, base, best, worst)</code> or <code>=INDEX(range,\$C\$1)</code>
Dropdown control	Data → Data Validation → List
1-var sensitivity	Data → What-If → Data Table → Column input cell
2-var sensitivity	Corner=output; Data Table → Row input + Column input
Solve for a threshold	Data → What-If → Goal Seek → Set cell To 0 by changing
Break-even volume	<code>=Fixed / (Price - VarCost/unit)</code>
Margin of safety	<code>=(Actual - BEP) / Actual</code>
Contribution/unit	<code>=Price - Variable cost/unit</code>
Expected value	<code>=Σ(Probability_i × Outcome_i)</code>
Monte Carlo	Python <code>numpy.random</code> → percentiles + P(loss)
Driver ranking	Tornado chart: ±10% each driver, sort by swing

Golden rules: inputs separate from formulas · never hardcode inside a calc · rank drivers before sensitising · state the trigger and the decision · stress cash & covenants, not just profit.

Unit Economics, KPIs & Metrics

What it is & where it's used

Unit economics is the profit-and-loss of a *single unit* — one customer, one order, one subscription, one delivery — stripped of company-wide noise. If you can't make money on one unit, scaling only makes you lose money faster. **KPIs and metrics** are the small set of numbers that tell you whether that unit is healthy and whether the business is on track.

This is the language of modern FP&A. It shows up in:

- **FP&A / business finance** — building the operating model, board decks, and "burn multiple" narratives.
- **Startup / SaaS / D2C finance** — CAC, LTV, payback, cohort retention, contribution margin per order.
- **Strategy & investor relations** — same metrics translated for VCs and lenders.
- **Corporate FP&A in traditional firms** — contribution margin by SKU/region, gross margin bridges.

Anyone touching a **board deck, a fundraise model, or a "why are we burning cash" review** lives in this chapter. In India, every funded startup (Zomato, Meesho, Nykaa, a Series-A SaaS firm) reports these numbers — and every finance hire is expected to compute and defend them.

The gap: why companies want this (and college didn't teach it)

Your MBA taught you the **income statement top-down**: Revenue → COGS → Gross Profit → EBITDA. That's an *accounting* view. It tells you the company made ₹X, not whether the *next customer* is worth acquiring.

The industry works **bottom-up and forward-looking**:

College taught	Industry needs
Gross margin % for the whole firm	Contribution margin per unit , after variable selling/logistics
Historical P&L	LTV — <i>future</i> value of a customer you just acquired
"Marketing is an expense"	CAC as an investment with a payback period
Revenue growth	Retention, cohorts, and <i>quality</i> of that growth
One blended number	Metrics by business model (SaaS ≠ D2C ≠ marketplace)

The gap: colleges teach financial *accounting* and static ratio analysis. Employers need you to model the *economics of growth* — connect a marketing spend today to a cash return 14 months later, and prove the business gets *more* efficient as it scales, not less. Nobody teaches cohort analysis or the CAC payback formula in a classroom.

What "proficient" looks like

A job-ready person can, unaided:

1. Build a **contribution margin** waterfall for a unit and name every variable cost line.
2. Compute **CAC** correctly (fully-loaded, not just ad spend) and **LTV** three different ways.
3. State the **LTV:CAC** and **payback** rules of thumb and explain *why* they matter for cash.

4. Build a **cohort retention table** in Excel/SQL and read revenue retention (NRR/GRR) off it.
5. Pick the **right KPIs for the business model** in front of them and defend the choice.
6. Spot when a metric is being **gamed** (blended CAC hiding paid CAC, LTV using revenue not margin).

The bar is not memorising formulas — it's judgement about *which* number is honest.

Hands-on: how to actually do it

Contribution margin (per unit)

Contribution margin = Revenue – **variable** costs. Fixed costs (rent, salaries, tools) are excluded.

```
Contribution Margin (CM1) = Net Revenue - COGS - variable selling/logistics
CM per unit                = CM1 / units
CM %                       = CM1 / Net Revenue
Breakeven units            = Fixed Costs / CM per unit
```

Excel for a D2C order:

```
Net revenue      = B2 - B3                'AOV minus discount
COGS             = B4
Contribution     = B2 - B3 - B4 - B5 - B6 - B7  'less shipping, payment gateway, returns p
CM %             = (B2-B3-B4-B5-B6-B7) / (B2-B3)
Breakeven units  = Fixed_Costs / Contribution_per_unit
```

CAC — Customer Acquisition Cost

$$\text{CAC} = (\text{Total Sales} + \text{Marketing spend, fully loaded}) / \text{New customers acquired}$$

Fully loaded = ad spend + salaries of the sales/marketing team + tools + agency fees + attributed discounts/coupons. **Blended CAC** divides by *all* new customers (incl. organic). **Paid CAC** divides by only paid-channel customers — always higher, always the honest one.

```
Blended CAC = 12,00,000 / 4,000 = ₹300
Paid CAC    = 12,00,000 / 2,000 = ₹600 ← the number a VC will ask for
```

LTV — Lifetime Value (three ways)

1. Simple:
$$\text{LTV} = \text{ARPU} \times \text{Gross Margin\%} \times \text{Avg customer lifespan (in periods)}$$
2. Churn-based:
$$\text{LTV} = (\text{ARPU} \times \text{Gross Margin\%}) / \text{Monthly churn rate}$$
3. Discounted:
$$\text{LTV} = \sum [\text{margin}_t / (1+r)^t] \quad \text{over expected life}$$

Rule: **always use margin, never revenue**. LTV on revenue overstates value by $(1 - \text{margin})$.

ARPU (monthly)	= ₹500
Gross margin	= 70% → contribution ARPU = ₹350
Monthly churn	= 5% → avg life = $1/0.05 = 20$ months
LTV (churn method)	= $350 / 0.05 = ₹7,000$
LTV:CAC	= $7,000 / 600 = 11.7x$

Payback period

CAC Payback (months) = CAC / (monthly contribution margin per customer)
= $600 / 350 = 1.7$ months

SQL — cohort retention

```
WITH first_order AS (  
  SELECT customer_id,  
         DATE_TRUNC('month', MIN(order_date)) AS cohort_month  
  FROM orders  
  GROUP BY customer_id  
)  
,  
activity AS (  
  SELECT o.customer_id,  
         f.cohort_month,  
         DATE_TRUNC('month', o.order_date) AS active_month,  
         SUM(o.net_revenue) AS revenue  
  FROM orders o  
  JOIN first_order f ON o.customer_id = f.customer_id  
  GROUP BY 1,2,3  
)  
SELECT cohort_month,  
       DATEDIFF('month', cohort_month, active_month) AS month_index,  
       COUNT(DISTINCT customer_id) AS active_customers,  
       SUM(revenue) AS cohort_revenue  
FROM activity  
GROUP BY 1,2  
ORDER BY 1,2;
```

Python — churn and LTV from the cohort table

```
import pandas as pd

df = pd.read_csv("cohorts.csv") # cohort_month, month_index, active_customers
pivot = df.pivot(index="cohort_month", columns="month_index",
                  values="active_customers")

# Retention % = each month vs month 0
retention = pivot.div(pivot[0], axis=0)

# Monthly churn implied by month 1 retention
churn = 1 - retention[1].mean()
arpu, gm = 500, 0.70
ltv = (arpu * gm) / churn
print(f"Avg monthly churn: {churn:.1%} | LTV: Rs {ltv:,.0f}")
```

DAX — Net Revenue Retention in Power BI

```
NRR :=
VAR StartRev = CALCULATE([Revenue], DATEADD('Date'[Date], -12, MONTH))
RETURN DIVIDE([Revenue], StartRev) -- >100% = expansion beats churn
```

Worked example / mini-project

"Kirana Cloud" — a B2B SaaS billing app for Indian retail shops. Reproduce this in Excel.

Inputs (monthly, per customer):

Item	Value
Subscription (ARPU)	₹1,500
Gross margin	80% → contribution ARPU ₹1,200
Monthly logo churn	4%
Fully-loaded S&M / month	₹8,00,000
New paying customers / month	100

Step-by-step:

CAC	= 8,00,000 / 100	= ₹8,000	
Avg lifespan	= 1 / 0.04	= 25 months	
LTV	= 1,200 × 25	= ₹30,000	
LTV:CAC	= 30,000 / 8,000	= 3.75x	✅ (>3 healthy)
CAC payback	= 8,000 / 1,200	= 6.7 months	✅ (<12 healthy)
Annual GRR	= (1 - 0.04)^12	= 61%	⚠️ churn too high

The catch a good analyst spots: LTV:CAC looks fine (3.75x), but **61% gross retention means 39% of customers gone within a year** — the LTV is propped up by a long theoretical tail. Fix churn before scaling spend. This is exactly the kind of "the headline metric hides the problem" insight FP&A gets hired for.

Now add **NRR**: if surviving customers upgrade seats and expansion adds 8% while churn removes 4%, NRR = 104% — the business grows revenue even with zero new logos. That single number reframes the entire investment case.

Build it: one sheet with the input block, one CAC/LTV/payback block, and a 12-column cohort retention grid using `=B0*(1-churn)^col`. Add conditional formatting (green >100% NRR, red <90% GRR).

How it's tested

Interview questions:

- "Walk me through CAC and LTV. What's a good LTV:CAC ratio and why 3x?"
- "Difference between blended and paid CAC? Which would a founder quote to look good?"
- "Company has LTV:CAC of 5x but is burning cash. How?" (Answer: long payback — cash out now, LTV realised over years.)
- "What KPIs matter for a marketplace vs a SaaS vs a D2C brand?"
- "GRR vs NRR — which can exceed 100% and why?"

Practical / take-home tests:

1. **Timed Excel case (45–60 min):** raw orders table given → build contribution margin, CAC, LTV, payback, and a cohort retention grid with conditional formatting.
2. **SQL screen:** "Write a cohort retention query from this `orders` table" (the query above is the expected answer).
3. **Metrics-audit case:** a deck with inflated numbers → "find what's wrong." Expected catches: LTV on revenue not margin, blended CAC hiding paid CAC, churn understated by counting only voluntary churn.
4. **Board-deck build:** given a P&L, produce the 6 KPIs that matter and a one-line narrative each.

Common mistakes & how pros avoid them

Mistake	Fix
LTV computed on revenue , not gross margin	Always multiply ARPU by GM% first
Quoting blended CAC to hide expensive paid channels	Report paid CAC separately; segment by channel
Ignoring CAC payback — a 5x LTV:CAC with 30-month payback still kills cash	Show payback alongside the ratio
Putting fixed costs into contribution margin	CM uses variable costs only
Assuming churn is constant	Early cohorts churn faster; use the cohort curve, not one rate
Using one KPI set for every business	Match KPIs to model (see cheat-sheet)
Counting a cancelled-then-resubscribed user as retained	Define churn rules explicitly and document them
LTV with infinite lifespan on high churn	Cap horizon (e.g., 36 months) or discount future margin

Pros write down every definition (a "metrics dictionary") so nobody argues about what "active customer" means at month-end.

Learn-it roadmap & resources

Time to proficiency: 3–5 weeks part-time.

- **Week 1** — Contribution margin, CAC, LTV, payback. Rebuild the worked example from scratch in Excel.
- **Week 2** — Cohort analysis in Excel, then reproduce it in SQL.
- **Week 3** — Business-model KPIs; read 3 real investor decks (Zomato, Nykaa, a SaaS S-1) and recompute their metrics.
- **Week 4–5** — Python/DAX automation of a cohort report; build a KPI dashboard.

Resources (mostly free):

- *For Entrepreneurs* (David Skok) — the canonical SaaS metrics essays. Free.
- a16z & Bessemer "Cloud metrics" primers — free, investor-grade definitions.
- Zomato / Nykaa investor presentations (India context) — free on their IR pages.
- *Financial Intelligence* (Berman & Knight) — margin thinking. Paid.
- Practice data: Kaggle "Online Retail" and "Telco Churn" datasets — build cohorts on real rows.
- **Certification:** none required specifically, but **FMVA (CFI)** and **Wall Street Prep** cover this inside their FP&A tracks. For most India roles, a strong Excel + SQL portfolio project beats a certificate.

Quick-reference

Formulas:

Metric	Formula	Healthy
Contribution margin	Revenue – variable costs	> 0, ideally 30%+
CAC (paid)	Fully-loaded S&M / paid customers	model-dependent
LTV	(ARPU × GM%) / churn	—
LTV:CAC	LTV / CAC	3–5x
CAC payback	CAC / monthly contribution/customer	< 12 months
GRR	1 – revenue churn	> 90% (SaaS)
NRR	(Start + expansion – churn) / Start	> 100%
Rule of 40 (SaaS)	Growth% + Profit margin%	≥ 40
Burn multiple	Net burn / Net new ARR	< 1 great, > 2 poor

KPIs by business model:

Model	The metrics that matter
SaaS	MRR/ARR, NRR, GRR, logo churn, CAC payback, Rule of 40, magic number
D2C / e-commerce	AOV, contribution margin/order, repeat rate, RTO %, blended vs paid CAC, cohort repeat
Marketplace	GMV, take rate, contribution/order, buyer & seller retention, liquidity
Lending / fintech	NIM, CAC, GNPA, credit cost, LTV net of losses, collection efficiency
Subscription media	ARPU, churn, engagement (DAU/MAU), content cost per sub

The one-liner to remember: *If contribution margin per unit isn't positive, no amount of scale, funding, or growth fixes it.*

Business Partnering & Commercial Finance

What it is & where it's used

Business partnering is the shift from finance *reporting on* the business to finance *sitting inside* the business — helping sales, operations, marketing and product make better commercial decisions with money as the lens. A "commercial finance" or "finance business partner" (FBP) is the person a Sales Director calls before signing a ₹4 crore deal at 12% discount, or the one the plant head asks whether the new SKU actually makes money after freight and returns.

You are not the scorekeeper anymore. You are the co-pilot who says: "*That discount kills your margin — here's a rebate structure that protects it and still wins the deal.*"

Where it shows up in roles:

Role	What partnering looks like
Finance Business Partner / Commercial Finance	Deal desk, pricing approvals, regional P&L ownership
FP&A Manager	Challenging budget assumptions with cost/ops teams
Revenue / Sales Finance	Discount governance, incentive design, quota setting
Cost Controller (manufacturing)	Product costing, make-vs-buy, capex justification
Startup Finance lead	Unit economics, CAC/LTV, board narrative

The gap: why companies want this (and college didn't teach it)

Your MBA taught NPV, contribution margin and Porter's five forces. It did **not** teach you how to walk into a room where a Sales VP outranks you, disagree with a discount, and leave with the room on your side. College graded you on the *right answer*. Business partnering pays you for the *adopted answer* — analysis that a non-finance person actually acts on.

The specific gaps employers keep hiring to close:

- **Translation gap** — you can compute EBITDA margin; can you tell a plant manager "every 1% scrap you cut adds ₹18 lakh to our bottom line"?
- **Influence-without-authority gap** — you don't manage sales, yet you must change their behaviour.
- **Commercial-context gap** — a "good" number isn't good if it ignores that the customer is a strategic logo, or that the competitor just cut price.
- **So-what gap** — freshers deliver a variance report; partners deliver *the one decision the report implies*.

CA/MBA curricula reward technical correctness in isolation. Companies lose crores to margin leakage, bad discounts and unmanaged price/cost gaps — they pay partners to plug that.

What "proficient" looks like

A job-ready business partner can, unaided:

- Build a **deal / pricing model** that shows gross margin, contribution and net margin *after* discounts, rebates, freight, credit cost and GST — and give a clear go/no-go.

- Run a **price-volume-mix (PVM) bridge** explaining why revenue or margin moved, and attribute it to who owns each lever.
- Sit in a commercial meeting, listen, and reframe a request ("we need 15% off") into a structured alternative that protects margin.
- Say **no with a number** and **yes with a condition** — never a flat block.
- Own a **regional/product P&L**: forecast it, explain the miss, and drive one corrective action.
- Design or vet a **sales incentive** so reps aren't paid to destroy margin.
- Deliver a one-slide **"CFO-ready"** recommendation: situation → options → recommendation → risk.

The bar is *behaviour change*, not analysis volume. Proficiency = "sales asks finance first."

Hands-on: how to actually do it

1. The deal margin model (the single most-used tool)

Build a clean waterfall from list price to net margin. Copy-usable Excel:

List price (per unit)	=B2
Discount %	=B3
Net price	=B2*(1-B3)
Volume (units)	=B5
Gross revenue	=B4*B5
COGS/unit	=B7
Gross margin ₹	=(B4-B7)*B5
Freight/unit	=B9
Rebate % (on net)	=B10
Credit cost (net price * days/365 * WACC)	=B4*(B12/365)*\$B\$14
Contribution ₹	=B8-(B9*B5)-(B4*B10*B5)-(credit)
Contribution %	=B15/B6

The margin-preservation formula every partner memorises — **how much extra volume a discount must generate to break even:**

Break-even volume uplift % = Discount% / (GM% - Discount%)
 Excel: =disc/(gm - disc)

At 40% gross margin, a 10% price cut needs volume to rise **33%** just to stand still — put *that* in front of sales and the conversation changes.

2. Price-Volume-Mix bridge (explaining the movement)

Price effect = (Price_curr - Price_prior) * Volume_prior
 Volume effect = (Volume_curr - Volume_prior) * Price_prior
 Mix effect = $\Sigma(\text{VolShare_curr} - \text{VolShare_prior}) * (\text{Margin_sku} - \text{Margin_total_prior}) * \text{TotalV}$

Excel for a two-period table:

```
=(C_priceCurr - C_pricePrior)*C_volPrior      ' price
=(C_volCurr - C_volPrior)*C_pricePrior        ' volume
=SUMPRODUCT( ... )                          ' mix
```

3. SQL — pull the numbers partners actually get asked for

Margin leakage by customer (who is over-discounting):

```
SELECT customer_name,
       SUM(list_price*qty)                AS gross_rev,
       SUM(net_price*qty)                 AS net_rev,
       1 - SUM(net_price*qty)/SUM(list_price*qty) AS realized_disc,
       SUM((net_price-cogs)*qty)/SUM(net_price*qty) AS net_margin_pct
FROM sales_lines
WHERE invoice_date ≥ '2026-04-01'
GROUP BY customer_name
HAVING 1 - SUM(net_price*qty)/SUM(list_price*qty) > 0.15
ORDER BY realized_disc DESC;
```

4. Python — quick deal sensitivity for a meeting

```
import numpy as np, pandas as pd

def deal_margin(list_p, disc, cogs, vol, freight=0, rebate=0):
    net = list_p*(1-disc)
    contrib = (net - cogs - freight - net*rebate)*vol
    return contrib, contrib/(net*vol)

for d in np.arange(0, 0.25, 0.05):
    c, pct = deal_margin(1000, d, 600, 500, freight=40, rebate=0.02)
    print(f"disc {d:.0%}: contribution Rs{c:,.0f}  margin {pct:.1%}")
```

5. DAX — a live margin measure for the dashboard sales sees

```
Net Margin % =
DIVIDE(
    SUMX(Sales, Sales[NetPrice]*Sales[Qty]) - SUMX(Sales, Sales[COGS]*Sales[Qty]),
    SUMX(Sales, Sales[NetPrice]*Sales[Qty])
)

Discount Leakage Rs =
SUMX(Sales, (Sales[ListPrice]-Sales[NetPrice])*Sales[Qty])
```

6. The influence script (the real skill)

Structure every pushback as **Data** → **So-what** → **Option** → **Ask**:

"This deal at 15% off lands us at 6% net margin vs our 14% floor (data). At this margin we're funding the customer, not earning (so-what). Two options: hold price with a 60-day payment term sweetener, or 15% off tied to a 20% volume commit (option). Which do you want me to model for tomorrow's call? (ask)"

Worked example / mini-project

Scenario: You are FBP for a mid-size FMCG distributor in Pune. Sales wants to close a modern-trade chain at **15% discount** on a product with list ₹1,000, COGS ₹620. Current business is 4,000 units/quarter at 5% discount. Sales promises "big volume."

Step 1 — current state

Metric	Value
List	₹1,000
Net price (5% off)	₹950
COGS	₹620
Contribution/unit	₹330
Volume	4,000
Contribution ₹	₹13,20,000
GM % (on net)	34.7%

Step 2 — proposed deal at 15%

Net price = ₹850. Contribution/unit = ₹850 – ₹620 = ₹230.

Break-even volume to keep ₹13,20,000 contribution: $13,20,000 / 230 = 5,740$ units → a **43.5% volume jump** just to hold flat.

Extra discount vs GM check: incremental discount = 10 points on a 34.7% margin base → $0.10 / (0.347 - 0.10) \approx 40\%$ **uplift required**. Consistent.

Step 3 — add freight ₹30/unit + 2% rebate + 45-day credit at 12% WACC

Credit cost/unit = $850 \times 45/365 \times 12\% \approx ₹12.6$. Rebate = ₹17. Net contribution/unit = $230 - 30 - 17 - 12.6 = ₹170.4$. Break-even now = $13,20,000 / 170.4 = 7,746$ units → **94% volume growth needed**. The "big volume" promise is nowhere near.

Step 4 — the recommendation slide

Situation: 15% ask needs ~94% volume growth to be margin-neutral. Sales forecasts +25%. *Options:* (a) 8% off + ₹30 freight to customer's DC = margin-neutral at +20% volume. (b) 15% off only above 6,000 units (tiered rebate). (c) Walk. *Recommendation:* Option (a) — protects the ₹13.2L base, wins the logo, achievable volume. *Risk:* Competitor may match; revisit in Q2.

You just turned a margin-destroying deal into a defensible one — *that* is business partnering.

How it's tested

Interview questions:

- "A sales head wants a 20% discount you think is wrong. Walk me through what you do." (They want structure + influence, not a flat "I'd refuse.")
- "How much extra volume justifies a 10% price cut at 40% margin?" (Answer: 33%.)
- "Explain a P&L miss to a non-finance CEO in 30 seconds."
- "Difference between gross, contribution and net margin — and which one do you use for a one-off deal?" (Contribution / incremental.)
- "Tell me about a time you changed a business decision with data." (Behavioural — have a STAR story ready.)

Practical assessments companies actually give:

- **Timed deal-model build (45–60 min):** raw price/cost/discount data in Excel → build margin waterfall + break-even + a go/no-go recommendation cell. They check formula correctness *and* whether you wrote a clear recommendation.
- **Case presentation:** "Here's a losing product line. Present 3 options to the leadership team in 10 minutes." Judged on commercial judgement and communication.
- **Roleplay:** an interviewer plays a pushy sales director; you must hold margin while keeping the relationship.
- **PVM bridge test:** two-period revenue/margin data → decompose and explain.

Common mistakes & how pros avoid them

Mistake	What pros do
Saying a flat "no"	Say "no with a number, yes with a condition" — always offer a structured alternative
Leading with gross margin on a one-off deal	Use contribution / incremental margin for deals; gross for portfolio
Ignoring below-the-line costs (freight, rebate, credit, returns)	Model <i>net</i> landed margin — that's where deals silently bleed
Drowning the room in a 12-tab model	One slide: situation → options → recommendation → risk
Being the "business prevention department"	Be the enabler who finds the <i>how</i> , not just the <i>no</i>
Owning the analysis but not the follow-through	Track whether the decision was acted on and what it delivered
Forgetting GST/credit period in Indian deals	Build 45–90 day credit cost and GST cash-flow timing into the model
Sandbagging with sales' own optimistic volume	Stress-test volume; show break-even so the burden shifts to them

Learn-it roadmap & resources

Time to proficiency: 6–12 months on the job; 8–10 focused weeks to become interview-ready if you already know Excel and P&L basics.

Phase	Weeks	Focus
1	1–2	Master margin math: gross vs contribution vs net, break-even, PVM
2	3–4	Build 3 deal models from scratch; add freight/rebate/credit layers
3	5–6	Storytelling: turn every model into a 1-slide recommendation
4	7–8	Influence & roleplay: practice the Data→So-what→Option→Ask script
5	ongoing	Own a mock regional P&L; forecast, explain variance, recommend

Resources:

- *Books:* "Financial Intelligence" (Berman & Knight) — translation skills; "The Finance Business Partner" (Ian Wallis); "Made to Stick" (Heath) for communication.
- *Free:* CFI's FP&A / Business Partnering articles; Mike Pearl / "The FP&A Guy" (Paul Barnhurst) LinkedIn + podcast; Excel margin-model templates on Wall Street Prep blog.
- *Paid/cert:* CFI **FMVA** (modeling backbone), AICPA **CGMA** (India-relevant management-accounting + partnering), your **CA** cost & management accounting papers map directly.
- *Practice:* rebuild a listed FMCG/pharma company's segment P&L from its annual report and write the "what I'd tell the CEO" note.

Quick-reference

Break-even volume uplift % = $\text{Discount\%} / (\text{GM\%} - \text{Discount\%})$
Contribution/unit = Net price - variable cost (COGS+freight+rebate+credit)
Net price = $\text{List} * (1 - \text{Disc\%})$
Credit cost/unit = $\text{Net price} * (\text{credit days}/365) * \text{WACC}$
Realized discount % = $1 - (\text{Net rev} / \text{Gross rev})$
PVM: Price = $\Delta\text{Price} * \text{Vol_prior}$; Volume = $\Delta\text{Vol} * \text{Price_prior}$; Mix = $\text{mix-shift} * \text{margin gap}$

Margin type	Use it for
Gross margin	Portfolio / product profitability
Contribution margin	One-off deals, incremental decisions, make-vs-buy
Net margin	Full customer/deal profitability after all costs

The three phrases that make you a partner: 1. "No with a number, yes with a condition." 2. "So what does this mean for *your* decision?" 3. "Here are three options — I recommend option B, and here's the risk."

Recommendation slide skeleton: Situation → Options → Recommendation → Risk. One slide. Every time.

Capex, project appraisal & business cases

What it is & where it's used

Capex (capital expenditure) is money spent to acquire or upgrade long-lived assets — a new plant, a fleet of delivery vans, an ERP rollout, a warehouse, machinery. Unlike opex (rent, salaries, electricity — expensed in the year), capex sits on the balance sheet and depreciates over years. **Project appraisal** is the discipline of deciding *which* capex is worth doing, and a **business case** is the document that carries that recommendation to the people who sign the cheque.

Every rupee of capex is a bet: pay cash now, receive uncertain cash later. The job is to convert that bet into three numbers — **NPV, IRR, payback** — plus a written argument, and defend it.

Where this skill lives: - **FP&A analyst** — builds the model, runs sensitivities, owns the capex tracker. -

Corporate finance / business finance partner — writes the business case, presents to the investment committee. - **Treasury** — checks it against the WACC and funding plan. - **Internal audit / controllership** — runs the **post-investment review** (did we get what we promised?). - Startups, PE portfolio finance, project finance (infra, renewables) — the entire deal is an appraisal.

The gap: why companies want this (and college didn't teach it)

College teaches you to compute NPV from a clean table of cash flows handed to you. Industry never hands you the cash flows — **you build them**, and 90% of the skill is in the assumptions, not the discounting.

Specific gaps a fresh MBA/CA has: - **You discount profit instead of cash.** Textbooks blur PAT and cash flow. In practice you must add back depreciation, adjust for working capital, and handle tax on *cash* terms. - **You ignore the tax shield on depreciation.** In India, depreciation is a WDV block under the Income Tax Act — it changes the cash flows and nobody in college models it. - **You treat sunk costs and allocated overheads as relevant.** They aren't. Only *incremental* cash flows count. - **You never touch terminal value, working-capital release, or salvage.** - **You've never written the one-page ask** that a CFO actually reads, or been forced to say "here's what kills this project." - **Post-investment review** — closing the loop — is not taught at all, yet it's what auditors and boards demand.

What "proficient" looks like

A job-ready person can, unaided:

1. Build a **10-year DCF for a project** in Excel from raw assumptions — revenue driver, cost ramp, capex phasing, working capital, tax, depreciation shield, salvage/terminal value.
2. Compute **NPV, IRR, discounted payback, and profitability index** with the correct sign convention and timing (year-0 outflow).
3. Choose the **right discount rate** (WACC or a hurdle rate) and explain *why*.
4. Run a **sensitivity / scenario / tornado** analysis and name the 2-3 variables that actually swing the decision.
5. Write a **one-page business case**: problem, options, recommendation, financials, risks, ask.
6. Design and run a **post-investment review** 12-18 months later against the original baseline.

7. Know the **decision rules and their traps** — IRR on non-conventional cash flows, mutually exclusive projects, capital rationing.

Hands-on: how to actually do it

The cash-flow engine (this is the whole game)

Free cash flow to the project each year:

```
FCF = (Revenue - Cash Costs - Depreciation) × (1 - tax)
      + Depreciation                      ← add back non-cash
      - Capex
      - ΔWorking Capital
```

The $\text{Depreciation} \times \text{tax}$ piece is the **tax shield** — it's why depreciation belongs in the model even though it's non-cash.

Core Excel formulas (copy-usable)

Lay years across columns. Put the initial outlay in **Year 0**.

```
NPV (correct way - year-0 outflow is NOT discounted):
=B10 + NPV(rate, C10:L10)      ' B10 = Year-0 cash flow (negative), C10:L10 = Years 1-10

IRR:
=IRR(B10:L10)

XIRR / XNPV (when dates are irregular - use these in real deals):
=XNPV(rate, B10:L10, B1:L1)    ' B1:L1 = actual dates
=XIRR(B10:L10, B1:L1)

Discounted payback - cumulative discounted CF crosses zero:
Discount factor:  =1/(1+$B$2)^C$1
Discounted CF:   =C10*C_DF
Cumulative:      =B_cum + C_disc
Payback year (approx): =MATCH(TRUE, cum_range>0, 0)

Profitability Index:
=NPV(rate,C10:L10) / -B10      ' PV of inflows / initial outlay
```

Common trap: `=NPV(rate, B10:L10)` is *wrong* if B10 is the Year-0 outflow — Excel's NPV assumes the first value is one period away. Always keep Year 0 outside the NPV() and add it.

Depreciation & tax shield — India (WDV block method)

Income-tax depreciation is on the **block of assets** at WDV rates (e.g. plant & machinery general block = 15%). Book depreciation (Companies Act, Schedule II, often SLM over useful life) differs — model the

income-tax one for cash tax.

```
WDV depreciation, Year n:  
=Opening_WDV * 15%  
Closing_WDV = Opening_WDV - Dep          ' carries to next year's opening
```

Also model the **additional depreciation** (20% extra in year of purchase for new plant in manufacturing, where still applicable) if relevant.

Sensitivity in Excel

Use a **Data Table** (What-If Analysis → Data Table). Put NPV in a corner cell `=NPV_cell`, discount rates down the left, a swing variable across the top. For a one-way tornado, flex each input $\pm 10\%$ and chart the NPV delta.

Python — same appraisal, reproducible

```
import numpy_financial as npf  
import numpy as np  
  
cf = [-500, 120, 140, 160, 180, 200]    # Year 0..5, in ₹ lakh  
rate = 0.13                             # WACC 13%  
  
npv = cf[0] + npf.npv(rate, cf[1:])      # or npf.npv(rate, cf) if cf[0] is t=0-discounted conv  
irr = npf.irr(cf)  
disc = [c/(1+rate)**t for t, c in enumerate(cf)]  
cum = np.cumsum(disc)  
payback = next(t for t, v in enumerate(cum) if v > 0)  
  
print(f"NPV ₹{npv:,.1f}L | IRR {irr:.1%} | Disc. payback ~Yr {payback}")
```

Note: `npf.npv` treats the first element as $t=0$ (already un-discounted), so pass the whole `cf` list directly — different convention from Excel. Verify once with a hand calc.

Journal entries — when capex actually hits the books

Event	Dr	Cr	Amount
Purchase machine on credit	Plant & Machinery	Vendor payable	₹50,00,000
GST input on capital goods	Input CGST/SGST (ITC)	Vendor payable	₹9,00,000
Installation cost (capitalise)	Plant & Machinery	Bank	₹2,00,000
Year-end depreciation (Schedule II)	Depreciation expense	Accumulated depreciation	₹5,20,000
Salvage on disposal	Bank / Accum. dep.	Plant & Machinery / Gain	at exit

ITC on capital goods is fully available (not amortised over 60 months post-2017, except for the common-credit reversal rule under Rule 43 if used partly for exempt supplies).

Worked example / mini-project

Project: A mid-size Indian manufacturer evaluates a new packaging line.

Assumptions: - Capex ₹500 lakh, installed Year 0. Life 5 years, salvage ₹50 lakh. - Incremental revenue ₹400 lakh/yr; cash costs 55% of revenue. - Working capital = 15% of revenue, built in Year 0, released in Year 5. - Tax 25%. WACC 13%. Depreciation for cash tax: WDV 15%.

Working-capital block = $15\% \times 400 = ₹60$ lakh outflow at Year 0, released Year 5.

₹ lakh	Yr 0	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
Revenue		400	400	400	400	400
Cash costs (55%)		-220	-220	-220	-220	-220
WDV Dep @15%		-75	-64	-54	-46	-39
PBT		105	116	126	134	141
Tax @25%		-26	-29	-31	-34	-35
PAT		79	87	94	101	106
+ Dep (add back)		75	64	54	46	39
- Capex	-500					
- ΔWC	-60					+60
+ Salvage (net)						+50
FCF	-560	154	151	149	147	255

Now the numbers (rate 13%):

$$\text{NPV} = -560 + 154/1.13 + 151/1.13^2 + 149/1.13^3 + 147/1.13^4 + 255/1.13^5$$

$$\approx -560 + 136 + 118 + 103 + 90 + 138 \approx ₹125 \text{ lakh} \rightarrow \text{POSITIVE, accept}$$

$$\text{IRR} \approx 21\% \quad (> 13\% \text{ WACC} \rightarrow \text{accept})$$

$$\text{Discounted payback} \approx 4.3 \text{ years}$$

$$\text{PI} = (560+125)/560 \approx 1.22 \quad (>1 \rightarrow \text{accept})$$

One-page business-case skeleton you'd attach: 1. **Problem/opportunity** — current line at 95% capacity; turning away ₹400L of orders. 2. **Options** — (a) do nothing, (b) outsource, (c) new line. Recommend (c). 3. **Financials** — NPV ₹125L, IRR 21%, payback 4.3 yrs, PI 1.22. 4. **Risks & sensitivity** — NPV turns negative if revenue falls >18% or costs exceed 63%. Volume is the swing variable. 5. **The ask** — approve ₹560L capex+WC; funded from internal accruals; go-live Q3.

How it's tested

Interview questions: - "Walk me through building free cash flow for a project from scratch." (They want dep add-back, WC, tax shield, capex phasing.) - "NPV vs IRR — which do you trust for two mutually exclusive projects, and why?" (NPV; IRR can mislead on scale and reinvestment.) - "A project has two IRRs — what happened?" (Non-conventional cash flows / sign changes; use NPV or MIRR.) - "What discount rate did you use and why?" (WACC for average-risk; risk-adjusted hurdle otherwise.) - "Payback ignores what?" (Time value and cash flows after payback — that's why it's a screen, not a decision rule.)

Practical tests companies give: - A **timed 30-45 min Excel case**: raw assumptions in one tab, "return NPV/IRR/payback and a recommendation." They check the year-0 handling, the tax shield, and whether your formulas are dynamic (change an input, does NPV update). - A **business-case writing test**: given a scenario, produce a one-pager with a recommendation. - A **"critique this model"** test: they hand you a flawed model and ask what's wrong (sunk cost included, NPV discounting year 0, hard-coded values).

Common mistakes & how pros avoid them

Mistake	Fix
Discounting Year-0 outflow inside <code>NPV()</code>	Keep Yr 0 outside: <code>=B10+NPV(rate,C10:L10)</code>
Including sunk costs (already-spent feasibility study)	Only incremental future cash flows are relevant
Allocating corporate overhead that won't change	Include only <i>incremental</i> overhead
Discounting PAT instead of FCF	Add back depreciation, adjust working capital
Ignoring the depreciation tax shield	Model it; it can flip a marginal NPV
Forgetting working-capital release and salvage at the end	Add both in the terminal year
Comparing projects of different lives on raw NPV	Use equivalent annual annuity (EAA)
Trusting IRR on non-conventional flows	Use NPV or MIRR
Nominal cash flows discounted at a real rate (or vice versa)	Match: nominal↔nominal, real↔real
No post-investment review	Bake the baseline into the approval so it can be audited

Post-investment review (PIR) — the pro move most people skip. 12-18 months after go-live, pull actual capex, actual revenue/cost, actual payback, and compare to the approved case. Document variances and *why*. This is what internal audit and the board look for, and it's how the FP&A team gets its next forecast right.

Learn-it roadmap & resources

Time to proficiency: 3-4 weeks of focused practice to pass an Excel appraisal test; 2-3 months to write business cases confidently.

- **Week 1** — DCF mechanics: build 5 project models by hand in Excel; drill NPV/IRR/XNPV/XIRR/PI.
- **Week 2** — Cash-flow building: incremental analysis, tax shield, WC, terminal value, EAA, MIRR.

- **Week 3** — Sensitivity, scenario, Data Tables, tornado charts; Python `numpy_financial`.
- **Week 4** — Write 3 one-page business cases; design a PIR template.

Resources: - CFA Level I / II "Corporate Issuers — Capital Budgeting" readings (free curriculum outlines; the clearest treatment). - ICAI CA Inter **Financial Management** — Capital Budgeting chapter (India tax + depreciation context, free study material). - Damodaran Online (NYU) — free capital budgeting lectures and spreadsheets. - CFI's **Financial Modeling & Valuation Analyst (FMVA)** — paid, hands-on, good for the Excel muscle. - `numpy-financial` docs for Python; Microsoft Excel Data Table / What-If docs.

Certifications that signal this skill: CFA, FMVA, CIMA/CMA, and for India the CA qualification itself.

Quick-reference

Metric	Formula / rule	Accept if
NPV	<code>=B0 + NPV(rate, Yr1:YrN)</code>	NPV > 0
IRR	<code>=IRR(range) / =XIRR(cf, dates)</code>	IRR > WACC/hurdle
Discounted payback	cumulative discounted CF crosses 0	≤ target years
Profitability Index	PV inflows ÷ initial outlay	PI > 1
MIRR	<code>=MIRR(cf, fin_rate, reinv_rate)</code>	> hurdle (use for weird flows)
EAA	$\text{NPV} \times \text{rate} / (1 - (1 + \text{rate})^{-n})$	higher, for unequal lives

Free cash flow: $(\text{Rev} - \text{CashCost} - \text{Dep}) \times (1 - t) + \text{Dep} - \text{Capex} - \Delta \text{WC}$ **Tax shield:** $\text{Depreciation} \times \text{tax rate}$ **India WDV P&M general block:** 15%; **book dep:** Schedule II (SLM/WDV over useful life) **GST:** ITC on capital goods fully available (watch Rule 43 reversal for exempt use) **Decision hierarchy:** NPV rules > IRR; screen with payback; rank under rationing by PI. **Only relevant cash flows:** incremental, future, after-tax. Ignore sunk costs & unchanged overhead. **Always close the loop:** approve with a baseline → post-investment review at 12-18 months.

Working-capital & cash-flow management

What it is & where it's used

Working capital is the money trapped inside the operating engine of a business: cash tied up in **receivables** (customers who owe you), **inventory** (stock sitting in a warehouse), minus the free financing you get from **payables** (suppliers you haven't paid yet). Manage it well and you release crores of cash without raising a single rupee of debt. Manage it badly and a profitable company runs out of cash and dies — the classic "profitable but insolvent" trap.

The **cash-conversion cycle (CCC)** measures how many days a rupee stays trapped: $CCC = DIO + DSO - DPO$. The **13-week cash-flow forecast** is the tactical instrument treasurers and CFOs live by — a rolling week-by-week view of every rupee coming in and going out for the next quarter.

Roles that pay for this skill: - **FP&A / Treasury analyst** — builds and owns the 13-week model, flags cash crunches. - **Credit control / AR analyst** — attacks DSO, chases overdue invoices. - **Corporate finance / CFO office** — negotiates supplier terms (DPO), decides on invoice discounting or a cash-credit limit. - **Financial controllers** — reconcile the forecast to the actual bank balance every Monday.

The gap: why companies want this (and college didn't teach it)

College teaches you that "working capital = current assets – current liabilities" and moves on. Nobody shows you that this single ratio hides three independent levers, each owned by a different department, each negotiable, each worth real cash. Your MBA taught you accrual accounting — revenue when earned, expense when incurred. But cash doesn't move on accruals. A ₹1 crore sale booked in March that gets collected in July does nothing for June's payroll.

Employers pay because the gap is *cash timing*, not profit. A founder can read a P&L. What they can't do is answer "will we make payroll in week 6?" — and that answer requires a bottoms-up 13-week model that no textbook builds. This is the skill that gets a 26-year-old into the room where the CFO decides whether to draw down the working-capital loan.

What "proficient" looks like

A job-ready person can, unaided:

1. Compute DSO, DPO, DIO and the CCC from a trial balance or Tally export, and explain what each day is worth in rupees.
2. Build a rolling 13-week cash-flow forecast in Excel from AR/AP ageing, payroll, GST, and loan schedules — with a live bank-balance line that flags any week going negative.
3. Run a **collections waterfall**: take an AR ageing and predict when each bucket actually converts to cash based on historical collection %.
4. Recommend a concrete lever — "cut DSO by 8 days via 2/10 net-45 terms, releases ₹1.4 cr" — with the number to back it.
5. Reconcile last week's forecast to the actual bank statement and explain the variance (a "cash bridge").

Hands-on: how to actually do it

The three ratios (Excel)

Assume an annual model. Put revenue, COGS, and closing balances on a sheet:

```
DSO = Accounts Receivable / Revenue * 365
DPO = Accounts Payable / COGS (or Purchases) * 365
DIO = Inventory / COGS * 365
CCC = DIO + DSO - DPO
```

Excel, with cells named:

```
=(_AR/_Revenue)*365 ' DSO
=(_AP/_COGS)*365 ' DPO
=(_Inventory/_COGS)*365 ' DIO
=DIO+DSO-DPO ' CCC
```

Rupee value of one DSO day = $\text{Revenue} / 365$. If revenue is ₹120 cr, one day of DSO = ₹32.9 lakh of cash. Cut DSO by 10 days → release **₹3.29 cr**.

Collections waterfall from an AR ageing (Excel)

Historical collection profile: of a month's sales, 40% collects in the current month, 35% at 30 days, 20% at 60 days, 5% at 90. Lay sales across rows, apply the profile with a shifted `SUMPRODUCT` :

```
=SUMPRODUCT($B2:$B13, INDEX($Profile,ROW()-...)) ' shift each cohort by its lag
```

Simpler, most analysts use a diagonal drag of `=Sales_MonthN * Collect%_bucket` and sum each week's column.

DSO/DPO/DIO levers — what to actually pull

Lever	Tactic	Cash effect
DSO ↓	2/10 net-30 early-pay discount; auto-reminders at day -3, 0, +7; stop-supply at 60 dpd; invoice same-day not month-end	Pulls cash forward
DPO ↑	Renegotiate supplier terms 30→45; pay on due date not early; use dynamic discounting only if return beats your cost of capital	Pushes cash back
DIO ↓	ABC analysis, cut slow-movers, JIT on A-items, consignment stock	Frees inventory cash

Pulling the numbers from Tally

Ratios need AR, AP, Inventory, Revenue, COGS. In TallyPrime: - **AR ageing**: Gateway of Tally → Display More Reports → Statements of Accounts → Ageing Analysis → Ledger (Or Bills Receivable → F6: Ageing). Set ageing periods 0-30 / 31-60 / 61-90 / 90+. - **AP ageing**: same path, Bills Payable . - **Closing**

stock: Stock Summary . Revenue/COGS: Profit & Loss A/C . - Export each with Alt+E → Excel (Spreadsheet) and pull into the model.

The 13-week forecast — Python skeleton

When AR/AP ageings are large, a Python roll is faster than dragging Excel:

```
import pandas as pd, numpy as np

weeks = pd.date_range("2026-07-06", periods=13, freq="W-MON")
cf = pd.DataFrame(index=weeks)

# Inflows
cf["collections"] = [1.20,0.95,1.40,1.10,0.80,1.05,1.30,0.90,1.15,1.00,1.25,0.85,1.10] # cr
cf["other_inflow"] = 0.0

# Outflows (negative)
cf["payables"] = [-0.70,-0.55,-0.90,-0.60,-0.75,-0.50,-0.80,-0.65,-0.70,-0.60,-0.85,-0.55]
cf["payroll"] = np.where(cf.index.day ≤ 7, -0.45, 0.0) # 1st-of-month payroll
cf["gst_tds"] = np.where(cf.index.day.isin(range(18,26)), -0.35, 0.0) # 20th GST
cf["loan_emi"] = -0.12
cf["capex"] = 0.0

cf["net"] = cf.drop(columns=[]).sum(axis=1)
opening = 0.60 # cr, this Monday's bank balance
cf["closing"] = opening + cf["net"].cumsum()
print(cf[["collections","payables","payroll","gst_tds","net","closing"]].round(2))

crunch = cf[cf["closing"] < 0]
if not crunch.empty:
    print("CASH CRUNCH in week(s):", list(crunch.index.date))
```

Cash-flow classification (accounting anchor)

The 13-week model is *direct-method* operating cash. Contrast with AS-3 / Ind AS 7 indirect method used in statutory accounts:

Activity	Examples
Operating	Collections, supplier payments, payroll, GST, TDS
Investing	Capex, asset sale, investments
Financing	Loan drawdown/EMI, equity, dividend

Journal entries behind the levers

Recording an early-payment discount **given** to a customer (2/10 net-30, ₹1,00,000 invoice, they pay in 10 days):

Account	Dr (₹)	Cr (₹)
Bank	98,000	
Discount Allowed	2,000	
To Debtors (Customer A)		1,00,000

Discount **received** by taking a supplier's early-pay offer:

Account	Dr (₹)	Cr (₹)
Creditors (Supplier B)	50,000	
To Bank		49,000
To Discount Received		1,000

Worked example / mini-project

Prakash Fabricators Pvt Ltd, FY26. Revenue ₹120 cr, COGS ₹90 cr. Closing AR ₹22 cr, Inventory ₹15 cr, AP ₹11 cr.

$DSO = 22/120 * 365 = 66.9$ days
 $DIO = 15/90 * 365 = 60.8$ days
 $DPO = 11/90 * 365 = 44.6$ days
 $CCC = 60.8 + 66.9 - 44.6 = 83.1$ days

83 days of operating cash is locked up. **One DSO day = ₹120cr/365 = ₹32.9 lakh.**

The ask: the CFO wants to fund a ₹6 cr machine from internal cash, no new loan. Target the levers:

Lever	Move	Days	Cash released
DSO	67 → 55 (credit control + 2/10 terms)	-12	$12 \times 0.329 = ₹3.95$ cr
DIO	61 → 52 (ABC + cut slow SKUs)	-9	$9 \times (90\text{cr}/365) = ₹2.22$ cr
DPO	45 → 52 (renegotiate top 5 vendors)	+7	$7 \times (90\text{cr}/365) = ₹1.73$ cr

Total released ≈ **₹7.9 cr** — machine funded, CCC drops from 83 to **55 days**.

13-week check. Feed the new (faster) collections profile into the Python model above. Week 5 previously dipped to -₹0.15 cr (a crunch) because of clustered GST + payroll. After pulling DSO forward, week-5 closing goes to +₹0.42 cr — the crunch disappears without drawing the cash-credit limit. That single chart — closing balance line staying above zero for 13 weeks — is the deliverable a CFO signs off on.

How it's tested

Interview questions - "A company is profitable but keeps running out of cash. Walk me through why." (Answer: CCC too long — cash trapped in AR/inventory; growth funds working capital.) - "What's the difference between the direct and indirect cash-flow method?" - "DSO went from 45 to 60 days QoQ. Give me three causes and how you'd investigate." (Deteriorating collections, a few large late accounts, revenue-recognition timing, channel-mix shift to slow payers.) - "How would you build a 13-week cash forecast from scratch? What are your inputs?" - "One DSO day — how much cash is that for a ₹500 cr revenue company?" (≈₹1.37 cr.)

Practical / assessment tests - **Timed Excel case (45–60 min)**: given an AR ageing + AP ageing + payroll and GST schedule, build a 13-week forecast with a flagged negative-week and a one-paragraph recommendation. - **Ratio drill**: from a trial balance, compute DSO/DPO/DIO/CCC and the rupee value of a 10-day DSO cut. - **Collections-waterfall test**: apply a historical collection % profile to a sales forecast to project weekly cash inflow. - **Variance / bridge**: reconcile last week's forecast to the actual bank statement, explain the gap.

Common mistakes & how pros avoid them

- **Forecasting on invoice date, not collection date.** A ₹50 lakh March invoice is *not* March cash. Pros apply a collection lag profile.
- **Using annual DPO/DSO on a weekly model.** Ratios are diagnostic; the 13-week model needs actual dated line items (specific EMTs, the 20th GST payment, the 7th payroll).
- **Forgetting GST/TDS timing.** GST is due by the 20th, TDS by the 7th. These are large, clustered, non-negotiable outflows that cause the classic mid-month crunch.
- **Chasing DPO by simply paying suppliers late.** That destroys supplier relationships and forfeits discounts. Pros *negotiate* longer terms and only stretch to the agreed due date.
- **No rolling refresh.** A forecast built once and never updated is dead in a week. Roll it every Monday: drop the past week, add week 14, re-anchor opening cash to the actual bank balance.
- **Confusing profit with cash.** Depreciation, accruals, and prepaid items break the link. The 13-week model ignores accruals entirely — it's pure cash in/out.
- **Not reconciling to the bank.** If your model's opening balance doesn't tie to the bank statement to the rupee, nobody trusts the closing line.

Learn-it roadmap & resources

Time to proficiency: ~4–6 weeks part-time if you already know Excel and basic accounting. Week 1: ratios + CCC. Weeks 2–3: build one real 13-week model end-to-end. Week 4: collections waterfall + variance bridge. Weeks 5–6: automate the roll in Python/Power Query.

Resource	Type	Focus
CFI "Cash Flow Forecasting" course	Paid	13-week model, treasury view
Wall Street Prep / Breaking Into Wall Street WC modeling	Paid	Working-capital schedule in a 3-statement model
ICAI FM study material (working-capital management)	Free	India-context, exam rigour
ACCA / CIMA treasury notes	Free/Paid	Globally-portable practice
CTP (Certified Treasury Professional, AFP)	Cert	Treasury/cash-management gold standard
Excel SUMPRODUCT , EOMONTH , WORKDAY mastery	Free	The engine of every model

Build a real one for a friend's business or from a public annual report — that single artifact beats any certificate in an interview.

Quick-reference

$DSO = AR / Revenue \times 365$ One DSO day = $Revenue / 365$
 $DPO = AP / COGS \times 365$ One DIO/DPO day = $COGS / 365$
 $DIO = Inventory / COGS \times 365$
 $CCC = DIO + DSO - DPO$ Lower = better

Lever	Direction	Effect on cash
DSO	↓	Releases cash (collect faster)
DPO	↑	Releases cash (pay later)
DIO	↓	Releases cash (less stock)

13-week model checklist: opening bank = actual balance · collections on *collection* date · payables on due date · payroll (7th) · GST (20th) · TDS (7th) · loan EMIs · capex · closing = opening + Σ net · flag any week < 0 · roll every Monday · reconcile to bank.

India timing anchors: GST payment by 20th · TDS deposit by 7th · Advance tax 15 Jun/Sep/Dec/Mar · typical B2B terms 30–90 days.

Valuation in practice (for decisions)

What it is & where it's used

Valuation "for decisions" is deliberately *not* the 200-tab IPO model. It is the fast, defensible number you build to answer a business question: *Should we buy this competitor? Is this vendor overpriced? What's our own company roughly worth for ESOP pricing or a funding round? Is Segment B destroying value?* The output is a **range plus a recommendation**, delivered in hours or a day, not weeks.

Two workhorses do 90% of the job:

- **DCF (Discounted Cash Flow)** — intrinsic value from projected free cash flows discounted at WACC. Used when you have a view on future cash flows and want to test whether the market/asking price is sane.
- **Comps (Comparable company / transaction multiples)** — value by analogy: apply peer EV/EBITDA, EV/Revenue, or P/E to the target. Faster, market-anchored, needs a peer set.

Roles that pay for this: **Corporate Development / M&A, FP&A** (business-case and buy-vs-build decisions), **investment banking / equity research, PE/VC associates, strategy/consulting**, and increasingly **finance business partners** who must sanity-check a capex or acquisition proposal in a meeting.

The gap: why companies want this (and college didn't teach it)

College teaches you the *Gordon Growth formula* and makes you discount a clean cash-flow stream to a single "correct" answer. Industry never has a clean stream. The gap is threefold:

1. **Speed and judgment over precision.** Employers want someone who, given a messy P&L, can produce a value range by end of day and *say which assumptions matter*. Textbooks reward exactness on made-up numbers.
2. **The plumbing MBA skips.** Converting equity value ↔ enterprise value (add net debt, minorities, subtract cash), mid-year convention, terminal value as 70–80% of value, calendarising to India's Apr–Mar FY, treating leases and ESOPs — none of this is in the lecture.
3. **Framing a decision, not a number.** A valuation that ends in "it's worth ₹142.7 cr" is useless. "It's worth ₹120–160 cr; below ₹135 cr it's accretive to our EPS, above ₹150 cr we're paying for synergies we haven't underwritten" — that gets you hired.

What "proficient" looks like

A job-ready person can, **unaided and under time pressure**:

- Build a 5-year DCF from a P&L in under 45 minutes, with a clean **FCFF → Enterprise Value → Equity Value → per-share** bridge.
- Compute **WACC** from a cap structure and defend every input (risk-free = 10-yr G-Sec, ERP, beta, cost of debt post-tax).
- Pull a **comps table**, pick the right multiple for the sector (EV/EBITDA for manufacturing, EV/Revenue or EV/GMV for early SaaS, P/B for banks), and reconcile it against the DCF.
- Run a **sensitivity table** (value vs WACC and terminal growth) and state the swing factors.

- Say "**precision doesn't matter here**" when it doesn't — e.g. a ₹5 cr build-vs-buy where the answer is obvious at any reasonable discount rate.

Hands-on: how to actually do it

1. The FCFF build (Excel)

Free Cash Flow to Firm each year:

$$\text{FCFF} = \text{EBIT} \times (1 - \text{tax}) + \text{D\&A} - \text{Capex} - \Delta \text{Net Working Capital}$$

Layout with years across columns (B:F = FY26–FY30). Assume EBIT in row 10, D&A row 11, Capex row 12, Δ NWC row 13, tax rate in `$B$3`:

$$=\text{B10}*(1-\text{\$B\$3}) + \text{B11} - \text{B12} - \text{B13} \quad \# \text{ FCFF for FY26, copy right}$$

2. Discount factors and PV

Put WACC in `$B$2`. Use **mid-year convention** (cash arrives mid-period) for a tighter number:

```
# Period number in row 20: 1,2,3,4,5
# Mid-year discount factor:
=1/(1+$B$2)^(B20-0.5)
# PV of each year's FCFF:
=B14*B21          # FCFF row 14 × discount factor row 21
```

3. Terminal value (Gordon growth), then discount it

```
# Terminal value at end of year 5, g in $B$4:
=F14*(1+$B$4)/($B$2-$B$4)
# PV of TV (discount 5 full years, or 4.5 with mid-year):
=TV/(1+$B$2)^(F20-0.5)
```

Sanity check: **TV should be 60–80% of total EV**. Above 85% means your explicit forecast is doing no work — extend it.

4. EV → Equity → per share bridge

```
Enterprise Value      = SUM(PV of FCFF) + PV of TV
(-) Net Debt          = Total Debt - Cash & equivalents
(-) Minority Interest
(-) Preference capital
(+) Non-operating assets / investments
= Equity Value
÷ Diluted shares (incl. ESOP via treasury method)
= Value per share
```

5. WACC

```
# E = market cap, D = net debt, Re = cost of equity (CAPM), Rd = pre-tax cost of debt, Tc = tax rate
WACC = E/(E+D)*Re + D/(E+D)*Rd*(1-Tc)
# CAPM:
Re = Rf + Beta*ERP
# India today (illustrative): Rf ≈ 7.0% (10-yr G-Sec), ERP ≈ 6.5-7%, Beta from peers
=0.07 + 1.1*0.065      # → 14.15%
```

6. Comps table with a live multiple

```
# Peer EV/EBITDA in D2:D6; apply median to target EBITDA in $B$8:
=MEDIAN(D2:D6)*$B$8      # implied EV
# EV/Revenue quick screen for a target with revenue in $B$9:
=MEDIAN(E2:E6)*$B$9
```

7. Sensitivity (Data Table)

Put EV formula in a corner cell. Select the grid, **Data → What-If Analysis → Data Table**. Row input = terminal growth, Column input = WACC. Instant 2-D value matrix.

8. Python — same DCF, scriptable for screening many targets

```
import numpy as np

def dcf_ev(fcff, wacc, g, midyear=True):
    fcff = np.array(fcff, dtype=float)
    n = np.arange(1, len(fcff) + 1)
    adj = 0.5 if midyear else 0.0
    df = 1 / (1 + wacc) ** (n - adj)
    pv_explicit = (fcff * df).sum()
    tv = fcff[-1] * (1 + g) / (wacc - g)
    pv_tv = tv / (1 + wacc) ** (n[-1] - adj)
    return pv_explicit + pv_tv, pv_tv / (pv_explicit + pv_tv)

ev, tv_share = dcf_ev([120, 138, 158, 179, 200], wacc=0.14, g=0.05)
print(f"EV ₹{ev:,.0f} cr | TV is {tv_share:.0%} of value")
```

Worked example / mini-project

Decision: Your company (mid-size auto-components maker) is screening **TargetCo**, a bolt-on supplier. Asking price is **₹150 cr equity**. Should you bid?

Given (₹ cr): FY25 Revenue 100, EBIT 15, D&A 6, Capex 8, tax 25%, NWC growing ₹2 cr/yr. Growth 12% → tapering. Net debt ₹20 cr. Peers trade at **8× EV/EBITDA**. WACC 14%, terminal g 5%.

FCFF forecast:

Item (₹ cr)	FY26	FY27	FY28	FY29	FY30
EBIT	16.8	18.8	20.7	22.4	23.9
EBIT×(1−0.25)	12.6	14.1	15.5	16.8	17.9
+ D&A	6.7	7.3	7.8	8.2	8.5
− Capex	9.0	9.7	10.3	10.7	11.0
− ΔNWC	2.0	2.0	2.0	2.0	2.0
FCFF	8.3	9.7	11.0	12.3	13.4

DCF: PV of FCFF (mid-year, 14%) ≈ ₹37 cr. Terminal value = $13.4 \times 1.05 / (0.14 - 0.05) = \text{₹156 cr}$; PV ≈ ₹85 cr. TV is 70% of EV — healthy.

- **Enterprise Value ≈ ₹122 cr** → − net debt ₹20 cr → **Equity ≈ ₹102 cr**.

Comps cross-check: FY25 EBITDA = EBIT 15 + D&A 6 = ₹21 cr. 8× = **EV ₹168 cr** → − ₹20 cr = **Equity ₹148 cr**.

The decision (this is the deliverable):

DCF says ₹102 cr equity, comps say ₹148 cr. The gap is the market pricing in growth our cash flows don't fully capture. The ₹150 cr ask sits at the *top* of the comps range and ~45% above intrinsic DCF. **Recommendation: counter at ₹110–125 cr.** Above ₹135 cr, the deal only works if we can underwrite $\geq$ ₹4 cr/yr of procurement/logistics synergy — which we have not validated. Precision beyond this range is wasted; the negotiation, not the third decimal, decides the outcome.

How it's tested

Interview questions - "Walk me from EBITDA to equity value per share." (The bridge — most common screen.) - "Terminal value is 90% of your DCF. Comfortable? What do you change?" - "EV/EBITDA vs P/E — when do you use which, and why is EV/EBITDA capital-structure neutral?" - "Your WACC drops 1% — roughly what happens to value?" (Should answer *directionally and materially*, ~15–25% for a growth name.) - "When would you *not* build a DCF?"

Practical tests - **Timed Excel case (45–90 min):** raw P&L + balance sheet handed over; build DCF + comps + a football-field chart and a one-line recommendation. Graded on the *bridge*, *WACC defensibility*, and *sensitivity* — not formatting. - **Take-home M&A screen:** "Here are 5 targets, pick the one to pursue." They test whether you triage with quick comps before over-modelling. - **LBO / accretion-dilution** for PE/IB: given purchase price and financing, is the deal EPS-accretive?

Common mistakes & how pros avoid them

Mistake	Fix
Discounting FCFF with cost of equity	FCFF → WACC ; FCFE → cost of equity. Never mix.
Mixing EV and equity items	EV multiples ↔ EV numerator (EBITDA, EBIT, sales); equity multiples ↔ P/E, P/B. Don't apply EV/EBITDA to net income.
Terminal $g \geq$ nominal GDP	Cap g at ~4–5% India nominal-ish; a company can't outgrow the economy forever.
Terminal value 90%+ of EV	Extend explicit forecast or use an exit multiple as a check.
Forgetting the bridge	Always subtract net debt, minorities, prefs to get to equity.
False precision	Report a range ; run sensitivity; state the 2 assumptions that move it.
Cherry-picked peers	Match size, growth, margins, geography; show median <i>and</i> range, not one flattering comp.
Double-counting synergies into standalone value	Value standalone first, then show synergy as a separate, clearly-flagged layer.

Learn-it roadmap & resources

Time to proficiency: 6–10 weeks part-time if you already know accounting.

- **Weeks 1–2:** FCFF/FCFE mechanics + the bridge. Build 3 DCFs from scratch, no template.
- **Weeks 3–4:** WACC, CAPM, beta unlevering/relevering; sensitivity tables.

- **Weeks 5–6:** Comps — build a peer set from screeners (Screener.in, Tijori for India), reconcile with DCF.
- **Weeks 7–8:** M&A screening, accretion/dilution, a light LBO.
- **Ongoing:** value 1 real listed company a week; check against the CMP and explain the gap.

Resources - *Damodaran Online* (NYU) — free spreadsheets, India ERP/beta data, the global gold standard. - Aswath Damodaran's YouTube valuation series (free). - Macabacus / Breaking Into Wall Street / Wall Street Prep — paid, template-heavy, interview-focused. - **Screener.in** and **Tijori** for Indian financials; NSE/BSE filings; RBI for the 10-yr G-Sec. - Your **CA Intermediate FM** already covers cost of capital, leverage, and capital budgeting — leverage it directly. - Certifications that signal this: **CFA Level II** (equity valuation), or a focused financial-modeling course (FMVA / WSP).

Quick-reference

Item	Formula / rule
FCFF	$EBIT(1-t) + D\&A - Capex - \Delta NWC$
FCFE	$FCFF - Interest(1-t) + Net\ borrowing$
WACC	$E/V \cdot Re + D/V \cdot Rd(1-t)$
CAPM (Re)	$Rf + \beta \cdot ERP$
Terminal value	$FCFF_5(1+g)/(WACC-g)$
EV → Equity	$EV - net\ debt - minorities - prefs + non-op\ assets$
Discount (mid-year)	$1/(1+WACC)^{(n-0.5)}$
India Rf	10-yr G-Sec yield (~7%)
India ERP	~6.5–7%
Sector multiple	Mfg → EV/EBITDA; SaaS → EV/Revenue; Bank → P/B; mature → P/E
TV as % of EV	Aim 60–80%; >85% = extend forecast
Excel sensitivity	Data → What-If → Data Table (WACC × g)
Golden rule	Deliver a range + a decision , not a single number

The FP&A Tech Stack

What it is & where it's used

The FP&A tech stack is the set of tools a finance team uses to *collect actuals, build a plan, and report the variance between the two*. In 90% of Indian companies — from a ₹50 crore manufacturer to the finance shared-service centre of an MNC — that stack is still **Excel plus a source system** (Tally, SAP, Oracle NetSuite, or Zoho Books). As the company scales, a dedicated **planning tool** (Anaplan, Workday Adaptive Planning, Datarails, Oracle EPM Cloud, Board) is layered on top to kill the spreadsheet chaos.

You will touch this stack in almost every finance role:

Role	What they do with the stack
FP&A analyst	Builds the budget model, monthly forecast, variance decks
Business finance partner	Slices margin by product/region, runs scenarios
Financial reporting / controllership	Feeds actuals from the ERP into the plan
Corporate development / strategy	Long-range plans, M&A models
Startup finance (fractional CFO)	Runs the whole thing in one Excel/Google Sheets model

The uncomfortable truth: **the tool is a means, not the skill**. Employers pay for someone who can design a driver-based model and *decide* when a spreadsheet has outgrown its usefulness. This chapter teaches both.

The gap: why companies want this (and college didn't teach it)

An MBA or CA course teaches you to *read* financial statements and to *value* a business. It never makes you *build the machine that produces a forecast every month*. The gaps employers complain about:

1. **You know accounting, not modelling.** You can pass a consolidation question but can't build a three-statement model that flexes when volume changes.
2. **You've never seen "version hell."** College models are one-shot. Real FP&A runs Budget v1, v2, Reforecast Q2, Actuals — and someone always emails `Budget_FINAL_v3_USE_THIS.xlsx`. You've never felt that pain, so you don't respect the tools built to solve it.
3. **You don't know the data plumbing.** Actuals live in the ERP at transaction-level with 400 GL codes. The plan is at product-line level. Nobody taught you the *mapping* between them — the single hardest, most valuable FP&A skill.
4. **You've never justified a ₹40 lakh/year software purchase.** Knowing *when* to move off Excel and *how to say so to a CFO* is a promotion-grade skill.

Closing this gap is what turns a "reporting analyst" into an "FP&A lead."

What "proficient" looks like

A job-ready person can, unaided:

- Build a **driver-based P&L** in Excel where changing one assumption (say, price per unit) ripples correctly through revenue, COGS, GST, and EBITDA.

- Pull actuals from an ERP export and **reconcile them to the plan** using a mapping table, not manual retyping.
- Explain a **variance** in business terms: "EBITDA missed by ₹1.2 Cr — ₹80 L volume, ₹40 L price/mix."
- Articulate the **EPM value chain**: model → data integration → workflow → reporting.
- Give a crisp answer to "When do we move off Excel onto Anaplan/Adaptive?" with real triggers, not vibes.
- Use structured references, `SUMIFS`, `XLOOKUP`, and dynamic arrays — no hard-coded cell soup.

Hands-on: how to actually do it

Excel: the driver-based revenue block

Never hard-code revenue. Build it from drivers so it flexes.

```
Assumptions (named cells / a Assumptions tab):
Price_Unit    = 1200      (₹ per unit)
Vol_Growth    = 0.03      (3% MoM)
Units_Jan     = 10000

Month row :   Jan       Feb               Mar ...
Units (B5) : =Units_Jan  =B5*(1+Vol_Growth)  =C5*(1+Vol_Growth)
Revenue    : =B5*Price_Unit
```

XLOOKUP for the GL-to-plan mapping (replaces VLOOKUP)

Your ERP export has GL codes; your plan needs line items. Map them once:

```
=XLOOKUP([@GLCode], MapTable[GLCode], MapTable[PlanLine], "UNMAPPED")
```

The "UNMAPPED" flag is deliberate — any new GL the ERP throws at you surfaces instead of silently dropping out of the P&L.

SUMIFS to aggregate actuals to the plan grain

```
=SUMIFS(GL[Amount], GL[PlanLine], $A2, GL[Month], B$1, GL[Entity], "IN01")
```

Variance and % variance, protected against divide-by-zero

```
Variance    =Actual - Budget
Var %       =IFERROR((Actual-Budget)/ABS(Budget), "n/m")
```

Python: pull the ERP CSV, map it, pivot to a plan-ready grid

When the export is 200k rows, Excel chokes. Pandas doesn't.

```
import pandas as pd

gl = pd.read_csv("gl_actuals_apr26.csv")          # TransID, GLCode, Amount, Month, Entity
mp = pd.read_csv("gl_plan_map.csv")              # GLCode, PlanLine

df = gl.merge(mp, on="GLCode", how="left")
unmapped = df[df["PlanLine"].isna()][["GLCode"]].unique()
print("UNMAPPED GLs (fix the map!):", unmapped)

pivot = (df.dropna(subset=["PlanLine"])
         .pivot_table(index="PlanLine", columns="Month",
                       values="Amount", aggfunc="sum", fill_value=0))
pivot.to_excel("actuals_planready.xlsx")
```

SQL: the same aggregation straight from the warehouse

If actuals sit in a database, skip the export entirely:

```
SELECT m.plan_line,
       g.period,
       SUM(g.amount) AS actual_amt
FROM   gl_transactions g
JOIN   gl_plan_map     m ON g.gl_code = m.gl_code
WHERE  g.entity = 'IN01'
       AND g.period BETWEEN '2026-04' AND '2026-06'
GROUP BY m.plan_line, g.period
ORDER BY m.plan_line, g.period;
```

DAX: a variance measure in Power BI / EPM reporting

```
Variance =
VAR bud = CALCULATE([Amount], 'Scenario'[Name] = "Budget")
VAR act = CALCULATE([Amount], 'Scenario'[Name] = "Actual")
RETURN act - bud

Variance % =
DIVIDE([Variance], CALCULATE([Amount], 'Scenario'[Name] = "Budget"))
```

What a planning tool (Adaptive / Anaplan) does that Excel can't

In Adaptive or Anaplan the same driver model becomes a **multi-dimensional cube**: `Account × Time × Entity × Product × Version`. You write one formula on a line item and it applies across every intersection. Key mechanics you'll use:

- **Versions**: Budget, Forecast, Actual are first-class — no `_v3_FINAL` files.

- **Data integration:** a scheduled connector loads ERP actuals nightly, auto-mapped.
- **Workflow:** each cost-centre owner enters their numbers; a submit/approve chain locks them.
- **Audit trail:** every cell change is logged with who/when.

Worked example / mini-project

Reproduce this. You are FP&A for a mid-size FMCG distributor. Build the April FY27 flash.

Assumptions:

Driver	Value
Opening units/month	50,000
Price per unit	₹250
Gross margin	32%
Fixed opex/month	₹28,00,000
GST rate (output)	18%

Budget P&L (April):

Line	Formula	Amount (₹)
Revenue	$50,000 \times 250$	1,25,00,000
COGS	$\text{Revenue} \times 68\%$	85,00,000
Gross profit	$\text{Rev} - \text{COGS}$	40,00,000
Fixed opex	given	28,00,000
EBITDA	$\text{GP} - \text{opex}$	12,00,000

Now actuals come in from Tally: units sold **46,000**, realised price **₹258** (price hike stuck), COGS ₹82.1 L, opex ₹29.2 L.

Line	Budget	Actual	Variance	Driver
Units	50,000	46,000	-4,000	volume
Price	250	258	+8	price
Revenue	1,25,00,000	1,18,68,000	-6,32,000	see below
COGS	85,00,000	82,10,000	+2,90,000 (fav)	
Gross profit	40,00,000	36,58,000	-3,42,000	
Opex	28,00,000	29,20,000	-1,20,000	
EBITDA	12,00,000	7,38,000	-4,62,000	

Price-volume bridge on revenue (the answer a CFO wants):

Volume effect	= (46,000 - 50,000) × ₹250	= -10,00,000
Price effect	= (₹258 - ₹250) × 46,000	= +3,68,000
Net revenue variance		= -6,32,000 ✓

The story: "Revenue missed ₹6.3 L — we lost ₹10 L on volume (4,000 fewer units) but recovered ₹3.7 L on the price increase. EBITDA fell ₹4.6 L, mostly volume-driven plus a ₹1.2 L opex overrun." That one sentence is the entire job.

Journal entry for the recognised April sales (net of the price realised):

Account	Dr (₹)	Cr (₹)
Trade Receivables	1,40,04,240	
Revenue		1,18,68,000
Output CGST		10,68,120
Output SGST		10,68,120

How it's tested

Interview questions:

- "Walk me through building a driver-based revenue forecast."
- "You get an ERP export at transaction level; the plan is at product level. How do you bridge them?" (They want to hear *mapping table*, not "I retype it.")
- "EBITDA missed budget. How do you find out why?" (Price-volume-mix bridge.)
- "When would you recommend moving off Excel to Anaplan or Adaptive?"

The practical test — this is what actually decides it:

- A **timed Excel case (45–90 min)**: raw actuals + budget on two tabs. Build a variance report, a price-volume bridge, and a one-line commentary. They watch whether you use `SUMIFS` / `XLOOKUP` or manual filtering.
- A **"break my model" review**: they hand you a spreadsheet with a hard-coded total and ask you to find the error.
- Occasionally a **SQL/Power BI screen** for FP&A roles at data-mature firms: "aggregate these GL rows to plan lines and compute variance."

Good answer to the move-off-Excel question:

"Move off Excel when three things co-occur: (1) the model breaks on version control — multiple people editing, `FINAL_v3` emails; (2) actuals load is a manual monthly copy-paste that eats two days; (3) we need bottom-up input from 10+ cost-centre owners with approval workflow. At that point a tool like Adaptive pays back — roughly ₹20–40 L/year, justified by analyst time saved and fewer errors."

Common mistakes & how pros avoid them

Mistake	What pros do
Hard-coding numbers inside formulas	All assumptions in one labelled Assumptions tab, referenced by name
VLOOKUP with hard column index	XLOOKUP / INDEX-MATCH — survives inserted columns
No "UNMAPPED" catch on GL mapping	Default flag so new GL codes surface, never silently drop
Manual monthly copy-paste of actuals	Structured tables + a repeatable pull (Power Query/Python/connector)
Reporting variance without the <i>why</i>	Always a price-volume-mix bridge and a one-line story
Buying Anaplan to fix a modelling problem	Fix the model design first; a tool amplifies good design, not bad
One giant tab	Separate Inputs / Calcs / Outputs; colour-code inputs (blue) vs formulas (black)
Divide-by-zero in Var %	Wrap in IFERROR , show "n/m"

Learn-it roadmap & resources

Realistic time-to-proficiency: 3–4 months of deliberate practice to clear an FP&A Excel test; 6–12 months on the job to be trusted with a planning tool.

Phase	Weeks	Focus
Excel modelling core	1–4	SUMIFS , XLOOKUP , dynamic arrays, structured refs, a 3-statement model
Driver-based planning	5–8	Build a budget + reforecast; price-volume-mix bridges
Data layer	9–12	Power Query, basic SQL, pandas for large actuals
EPM exposure	ongoing	Free Adaptive/Anaplan trials, model-builder tutorials

Resources:

- **Free:** Corporate Finance Institute free courses; Anaplan "Level 1 Model Builder" (free); Workday Adaptive product tutorials; Microsoft Learn (Power Query, DAX); pandas docs.
- **Paid / cert:** CFI **FMVA** (globally portable, strong in India), Anaplan **Certified Model Builder**, Adaptive Planning certification (usually employer-sponsored), Wall Street Prep for modelling drills.
- **Practice:** rebuild your own company's or a listed FMCG's segment P&L from its annual report as a driver model.

Quick-reference

Need	Formula / step
Lookup (modern)	<code>=XLOOKUP(key, lookup_col, return_col, "NA")</code>
Aggregate to grain	<code>=SUMIFS(amt, key_col, key, month_col, mth)</code>
Safe % variance	<code>=IFERROR((Act-Bud)/ABS(Bud),"n/m")</code>
Volume effect	<code>(Act_units - Bud_units) × Bud_price</code>
Price effect	<code>(Act_price - Bud_price) × Act_units</code>
SQL aggregate	<code>SELECT plan_line, period, SUM(amount) ... GROUP BY plan_line, period</code>
DAX variance	<code>act - bud via CALCULATE([Amount], Scenario[Name]="Actual"/"Budget")</code>
Move-off-Excel triggers	version hell + manual actuals load + multi-owner input/workflow
EPM tools (India-relevant)	Anaplan, Workday Adaptive, Oracle EPM Cloud, Board, Datarails
EPM value chain	Model → Data integration → Workflow → Reporting/Audit
Output GST split	CGST 9% + SGST 9% (intra-state) or IGST 18% (inter-state)

The FP&A Interview & Case (with cheat-sheet)

What it is & where it's used

The FP&A interview is the final filter between "I did an MBA / cleared CA Inter" and a ₹6-18 LPA offer as an **FP&A Analyst, Business Finance Analyst, Financial Analyst, or Budgeting Analyst**. It has three moving parts, and every serious company (Amazon, Flipkart, Genpact, EY/Deloitte finance-transformation teams, GCCs like Wells Fargo/JPMC Hyderabad, plus mid-market CFO offices) tests all three:

1. **Conceptual Q&A** — do you understand the three statements, drivers, and variance?
2. **A live/take-home case** — build a mini-model, forecast, and explain the variance.
3. **A timed Excel/technical screen** — XLOOKUP, pivots, sometimes SQL or Power BI.

This chapter is the closing chapter: it assumes you've read the modelling, variance, and budgeting chapters, and now packages everything for the room. Roles that hire on this exact skill set: FP&A Analyst, Cost Analyst, Revenue Analyst, Corporate Finance Associate, and finance roles inside SaaS/D2C startups where "the analyst who owns the model" is a real job title.

The gap: why companies want this (and college didn't teach it)

College taught you to **calculate** ratios and **pass** journal entries against a given trial balance. It did not teach you to sit in front of a hiring manager and answer "*Revenue missed budget by ₹40 lakh — walk me through why, in 90 seconds.*" That answer requires **price/volume/mix decomposition**, a **bridge**, and a **recommendation** — none of which appear in a textbook exam.

The specific gaps this chapter closes:

College teaches	Job actually tests
Compute NPV given cash flows	Build the cash flows yourself from assumptions
Define working capital	Forecast WC and explain the cash impact
"Variance = Actual – Budget"	Why the variance happened + what to do
Solve one clean problem	Handle a messy 5,000-row export under time pressure
Written exams	Talk while you build, defend your number

Employers pay for **judgement under ambiguity**, communicated crisply. The interview is engineered to detect exactly that.

What "proficient" looks like

A job-ready candidate, unaided, can:

- **Answer the three-statement linkage question cold** — how a ₹100 depreciation change flows through P&L, cash flow, and balance sheet (net income – ₹75 assuming 25% tax, cash + ₹25, retained earnings – ₹75, PP&E – ₹100... balances).
- **Build a driver-based revenue forecast** in Excel in under 15 minutes (units × price, or customers × ARPU).

- **Decompose a variance** into price, volume, and mix — not just report the delta.
- **Write an XLOOKUP / SUMIFS / pivot** without googling.
- **Read a SQL screen** — GROUP BY, JOIN, a window function.
- **State a recommendation** in one sentence: "Cut CAC by moving 20% of spend from Google to referral; that recovers ₹22L of the ₹40L miss."

The bar is not "knows everything." It's "can produce a defensible number and a decision from messy inputs, and explain it to a non-finance manager."

Hands-on: how to actually do it

The Excel core they will test

```
# Lookup a budget figure by cost centre (modern)
=XLOOKUP(A2, Budget[CostCentre], Budget[Amount], "Not found")

# Conditional sum - actuals for one department, one month
=SUMIFS(Actuals[Amt], Actuals[Dept], "Sales", Actuals[Month], "Jun")

# Variance % with divide-by-zero guard
=IFERROR((Actual-Budget)/Budget, 0)

# Two-way lookup (row = account, col = month) without a pivot
=INDEX(Data, MATCH($A2, Accounts, 0), MATCH(B$1, Months, 0))

# CAGR over n years
=(End/Start)^(1/n) - 1
```

Price / Volume / Mix — the question that separates analysts from clerks

```
Volume variance = (Actual Qty - Budget Qty) × Budget Price
Price variance   = (Actual Price - Budget Price) × Actual Qty
Mix variance     = shift in product mix at standard margins
Total = Volume + Price (+ Mix)
```

The SQL screen (revenue by month from a transactions table)

```
SELECT DATE_TRUNC('month', invoice_date) AS mth,
       SUM(amount) AS revenue,
       COUNT(DISTINCT customer_id) AS active_customers,
       SUM(amount) / COUNT(DISTINCT customer_id) AS arpu
FROM   invoices
WHERE  invoice_date ≥ '2025-04-01'
GROUP BY 1
ORDER BY 1;

-- Month-over-month growth with a window function
SELECT mth, revenue,
       revenue - LAG(revenue) OVER (ORDER BY mth) AS mom_delta
FROM   monthly_rev;
```

Python (if the JD mentions it)

```
import pandas as pd
df = pd.read_csv("actuals.csv")
piv = df.pivot_table(index="account", columns="month",
                     values="amount", aggfunc="sum")
piv["variance"] = piv["Jun"] - piv["budget"]
piv["var_pct"] = piv["variance"] / piv["budget"]
print(piv.sort_values("variance").head(10)) # 10 worst misses
```

DAX (Power BI screens)

```
Variance = SUM(Actuals[Amount]) - SUM(Budget[Amount])
Var % = DIVIDE([Variance], SUM(Budget[Amount]))
YTD Actual = TOTALYTD(SUM(Actuals[Amount]), 'Date'[Date])
```

Worked example / mini-project

The case (typical take-home, India SaaS): "Q1 FY26 revenue was budgeted at ₹5.00 Cr; actual came in at ₹4.60 Cr. Explain the ₹40L miss and recommend one action."

Given data:

Metric	Budget	Actual
New customers	500	460
ARPU (₹/customer)	₹1,00,000	₹1,00,000
Marketing spend	₹75L	₹80L
CAC (₹/customer)	₹15,000	₹17,391

Step 1 — bridge the revenue miss.

Revenue = Customers × ARPU

Volume variance = $(460 - 500) \times ₹1,00,000 = -₹40,00,000$

Price/ARPU variance = $(1,00,000 - 1,00,000) \times 460 = 0$

Total = -₹40L → 100% a volume (customer-acquisition) problem

The miss is **not** pricing. ARPU held. We acquired 40 fewer customers.

Step 2 — why fewer customers? CAC rose from ₹15,000 to ₹17,391 (+16%) *while* spend rose ₹5L. So we spent **more** and got **fewer** — efficiency collapsed. Customers acquired = $₹80L \div ₹17,391 \approx 460$. Had CAC held at ₹15,000, ₹80L would have bought ~533 customers.

Step 3 — the one-sentence recommendation.

"The ₹40L miss is entirely a volume problem driven by a 16% CAC spike, not pricing. Reallocate spend from the underperforming paid channel toward referral (historically ₹8,000 CAC); at that efficiency, the existing ₹80L budget recovers the 40-customer shortfall and ₹40L of revenue within one quarter."

Step 4 — the Excel that backs it:

Volume var = $(460-500)*100000 \rightarrow -4000000$

CAC actual = $80000000/460 \rightarrow 17391$

Cust if CAC held = $80000000/15000 \rightarrow 5333$

That is a complete, defensible answer: bridge → root cause → decision → number. Reproduce it in a blank sheet in under 20 minutes and you clear most FP&A case rounds.

How it's tested

Round 1 — conceptual (verbal), the greatest hits:

- "Walk me through the three statements. Now change depreciation by ₹100 — trace it."
- "What's the difference between a budget, a forecast, and a plan?" (Budget = fixed target set once; forecast = updated view of reality; plan = the strategy behind the numbers.)
- "Revenue is up but cash is down — how?" (WC bloat: receivables/inventory up, or capex.)
- "What KPIs would you track for a D2C brand?" (CAC, LTV, LTV/CAC, contribution margin, repeat rate, cash conversion cycle.)

- "How do you build a revenue forecast?" (Driver-based: units × price, cohort, or run-rate — never a flat % without a driver.)

Round 2 — the case: a take-home model or a live "build a 3-year forecast from these assumptions," followed by defending every number.

Round 3 — the timed technical screen: 30-45 min. A messy CSV; deliver a pivot, an XLOOKUP-driven variance report, and often a chart. GCCs increasingly add a SQL screen and a Power BI task.

What they're really scoring: structure (did you bridge, not just subtract?), speed, accuracy under pressure, and whether you *ended with a decision*.

Common mistakes & how pros avoid them

Mistake	What pros do
Reporting a variance without explaining <i>why</i>	Always bridge: price / volume / mix, then root cause
Hardcoding numbers inside formulas	Every driver lives in a labelled input cell; formulas reference cells
Forecasting revenue as a flat "+10%"	Tie growth to a driver (customers, price, capacity)
Silent during the live case	Narrate: "I'm laying inputs top-left, calcs below, output right"
No recommendation	End every answer with one decision sentence + the ₹ impact
Circular refs / broken balance sheet	Know the depreciation and interest-on-debt linkages cold
Over-engineering the model	Deliver a clean, right answer fast; polish only if time remains
Guessing on Excel syntax	Drill XLOOKUP, SUMIFS, INDEX-MATCH, IFERROR until automatic

Learn-it roadmap & resources

Time to interview-ready: 6-10 weeks if you already have the MBA/CA base.

Weeks	Focus
1-2	Excel drills: XLOOKUP, SUMIFS, pivots, INDEX-MATCH — daily reps
3-4	Three-statement model from scratch, 5x, no template
5-6	Variance/bridge cases; price-volume-mix until reflexive
7-8	SQL basics (SELECT/JOIN/GROUP BY/window) + one Power BI dashboard
9-10	Mock interviews out loud; timed 30-min Excel cases

Resources - Free: CFI free Excel & FP&A intros; Corporate Finance Institute cheat-sheets; Ben Felix / Aswath Damodaran (valuation intuition); LeetCode/StrataScratch (easy SQL); Microsoft Learn (Power BI/DAX). - **Paid (high ROI):** CFI **FMVA** (~₹40-70k, globally recognised for FP&A), Wall Street Prep / Breaking Into Wall Street modelling courses. - **India-specific:** for controllership-flavoured roles your **CA Inter** costing + accounting is already a strong differentiator — lead with it.

Quick-reference

Core formulas

Metric	Formula
Variance	Actual – Budget
Variance %	(Actual – Budget) / Budget
Volume var	(Act Qty – Bud Qty) × Bud Price
Price var	(Act Price – Bud Price) × Act Qty
CAGR	$(\text{End}/\text{Start})^{(1/n)} - 1$
Gross margin	(Revenue – COGS) / Revenue
Contribution margin	(Revenue – Variable cost) / Revenue
EBITDA	EBIT + Dep + Amort
LTV	ARPU × Gross margin × Avg lifetime
LTV/CAC	Healthy $\geq 3\times$
CAC	Total S&M spend / New customers
CCC	DSO + DIO – DPO
Working capital	Current assets – Current liabilities
Free cash flow	CFO – Capex

Excel one-liners

Task	Formula
Lookup	<code>=XLOOKUP(key, lookup, return, "NA")</code>
Conditional sum	<code>=SUMIFS(sum, crit1, val1, crit2, val2)</code>
Two-way lookup	<code>=INDEX(d, MATCH(r, rows, 0), MATCH(c, cols, 0))</code>
Guarded divide	<code>=IFERROR(a/b, 0)</code>
Count by criteria	<code>=COUNTIFS(rng, crit)</code>

The interview mantra: Bridge the number → find the root cause → end with one decision and its ₹ impact.
Structure beats speed; a decision beats a correct-but-mute calculation.